



Medium-Term Fiscal-Structural Plan

Belgium

18 March 2025

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Foreword

This first Belgian medium-term fiscal-structural plan outlines the budgetary targets, policy framework, and reform and investment commitments for the period 2025-2029, in accordance with Regulation (EU) 2024/1263 of the European Parliament and of the Council of 29 April 2024 on the effective coordination of economic policies and on multilateral budgetary surveillance. Budgetary targets are set in a net expenditure path that aims to ensure that government debt follows a plausible downward path by the end of the adjustment period and that the deficit is brought and maintained below 3% of GDP in the medium term.

The document “Guidelines to Member States on the Information Requirements for the Medium-Term Fiscal-Structural Plans and for the Annual Progress Reports” provided the basis for the preparation of this plan.

The proposed net expenditure path is based on the updated prior guidance from the Commission received on 5 February 2025. The macroeconomic data in the various tables is based on the Commission's Autumn Forecast.

The EDP recommendation for Belgium, endorsed by the Council on 21 January 2025, states that following Belgium's submission of the medium-term fiscal-structural plan, its assessment by the Commission, and its endorsement by the Council, the Council may recommend a new corrective net expenditure path under Article 126(7) TFEU, based on a recommendation from the Commission.

European, federal, and regional elections took place on 9 June 2024. These elections quickly led to the formation of a new Flemish Government, as well as new governments for the Walloon Region and the French- and German-speaking Communities.

Due to the absence of a federal government when the plan was initially due for submission on 20 September 2024, the Commission granted Belgium an extension under Article 36(1)(a) of Regulation (EU) 2024/1263, allowing to submit a plan based on strong political commitments from the new federal government.

On 3 February 2025, the new federal government took office, enabling the establishment of federal policies for the period up to 2029. Among other commitments, the new federal government is dedicated to ensuring sound public finances, ensuring the sustainability of social security, implementing an activation policy, modernising structures as well as an efficient government.

This plan addresses both the EU's four common priorities—defence capability building, social and economic resilience, energy security, and the green and digital transition—and the country-specific recommendations for 2019-2024.

The plan is also supported by the various coalition agreements and measures implemented at the level of the Communities and Regions¹. They are responsible for key policy areas that align with both the country-specific recommendations and the common EU priorities. A significant portion of government spending is allocated through their budgets. This plan outlines both the general principles of fiscal policy for the coming years (section 4.2.2) and the key reforms (section 6.2.2).

At the time of the submission of this plan, only the government of the Brussels-Capital Region had not yet been formed.

In accordance with Article 12 of Regulation (EU) 2024/1263, a technical dialogue took place between the Commission services and the federal authorities regarding the broad principles of the plan.

In accordance with Article 14 of Regulation (EU) 2024/1263, this plan outlines a trajectory that assumes a 3-year extension of the adjustment period. This extension is justified by a series of major structural reforms implemented by the Belgian federal government, aligned with the key challenges identified in the European Semester and the Union's common priorities outlined in Article 13(c) of Regulation (EU) 2024/1263. These reforms include a pension reform, a tax reform, a labour market reform, improving competitiveness, enhancing the efficiency and quality of public spending, and improving the coordination of fiscal policy across the different levels of government.

The various governments in Belgium are committed to further implementing the NRRP under the RRF, in line with the country-specific recommendations addressed to Belgium.

The plan brings together measures taken by the federal government and the regional governments, with their contributions clearly outlined in the plan.

Preliminary consultations with the Communities and Regions were held on 12 March 2025 regarding the drafting of the plan. The plan was approved by the Consultative Committee on 14 March 2025.

¹ Thus, the Flemish Government announced:

"On 14 March 2025, the Flemish Government took note of its contribution to this plan. It details the Flemish reforms and investments outlined in section 6.2.2.1 of this plan. The Flemish Government thus reaffirms its long-standing strong commitment to the follow-up of the European Semester, with the implementation of the country-specific recommendations holding a key position. This Flemish Semester commitment will also continue within the framework of the new economic governance."

Introduction

Below is a brief overview of the following chapters.

Chapter 1 outlines the proposed net expenditure path from 2025 to 2029, along with the key underlying parameters.

Chapter 2 elaborates on the macroeconomic outlook over the period covered by this plan. These are primarily based on the Commission Autumn Forecast.

Chapter 3 outlines the general policy framework for the General Government.

Chapter 4 provides a detailed analysis of the budgetary figures for the year 2024, as well as for the plan period from 2025 to 2029. It then outlines the key fiscal policy directions for Entity I (the Federal Government and Social Security) as well as for the individual Communities and Regions.

Chapter 5 provides information on contingent liabilities by sub-entity.

Chapter 6 concludes the plan with the reforms and investments at the level of Entity I that justify an extension of the adjustment period, as well as the remaining reforms and investments for both Entity I and the individual Communities and Regions. It also includes the investment needs.

1 Budgetary targets

The multi-annual trajectory for net expenditure outlined in this plan is based on the prior guidance from the Commission, transmitted on 5 February 2025, in accordance with Article 9 of Regulation (EU) 2024/1263. These are based on the macroeconomic and budgetary assumptions underlying the Commission's 2024 Autumn Forecast.

This plan is based on a reference trajectory with a seven-year adjustment period, in which the required budgetary effort is more spread out over time, making it more realistic. This extension of the adjustment period also facilitates ambitious structural reforms, with a progressively increasing budgetary impact. In fact, these reforms do not only have an impact during the plan or adjustment period but also contribute to the sustainability of public finances in the (medium-) long term.

To justify the three-year extension of the trajectory, Belgium is committed to implementing major structural reforms aligned with the Union's common priorities as defined in Article 13(c) of Regulation (EU) No 2024/1263. These reforms focus on a pension reform, a tax reform, and a labour market reform. Additionally, efforts are also being made to improve competitiveness, enhance the efficiency and quality of public spending, and improve the coordination of fiscal policy between the different governments.

The concrete trajectory proposed in this plan deviates only slightly from the reference trajectory provided by the European Commission over a 7-year period (see Annex 1). This deviation arises from the fact that the federal government only took office on 3 February 2025, meaning that the measures decided for 2025 can only take effect for part of the year. It was therefore decided to reduce the required structural improvement by half for 2025. In the following years, Belgium is committed to a more ambitious trajectory, with net expenditure growth each year being 0.1 percentage point lower than projected in the reference trajectory. Additionally, the recent GDP deflator estimate for 2025 from the Federal Planning Bureau was also taken into account.

Table 1a below illustrates the net expenditure path to which Belgium is committed for the period 2025-2029, based on a 7-year adjustment period. It shows that Belgium will maintain a degressive trajectory for net expenditure growth, decreasing from 3.6% in 2025 to 2.1% in 2029. This corresponds to an average growth in net expenditure of 2.56% over the next 5 years. The difference compared with the reference trajectory proposed by the Commission, which foresees an average growth rate of 2.53%, is therefore negligible.

Table 1a: Budget targets

		2023	2024	2025	2026	2027	2028	2029
1	Net nationally financed primary expenditure (growth rate)		4,3	3,6	2,5	2,5	2,1	2,1
2	(cumulative growth rate)		4,3	8,0	10,7	13,4	15,9	18,3

The main elements underlying the trajectory as well as the impact on a number of key public finance variables are shown in Table 1b.

The decline in potential growth and the GDP deflator means that authorised expenditure growth will also decrease over the period.

Table 1b: Key variables

		2023	2024	2025	2026	2027	2028	2029
		growth rate						
1	Potential GDP	2,0	1,7	1,6	1,4	1,4	1,2	1,2
2	GDP deflator	4,5	2,7	2,5	2,1	2,1	2,1	2,2
		% GDP						
3	Net lending/net borrowing	-4,2	-4,6	-4,7	-4,6	-4,1	-3,5	-3,0
4	Structural balance	-4,1	-4,2	-4,0	-3,6	-3,2	-2,7	-2,1
5	Structural primary balance	-2,1	-2,0	-1,8	-1,2	-0,7	0,0	0,6
6	Gross debt	103,1	103,4	105,1	107,0	107,3	107,3	106,7
7	Change in gross debt	0,5	0,2	1,8	1,9	0,3	0,0	-0,5

This plan includes the commitment concerning the expenditure trajectory for the General Government, as approved by the Consultative Committee on 14 March 2025. The division of the trajectory between Entity I (Federal Government and Social Security) and Entity II (the Communities and Regions, including local authorities under their jurisdiction) will be determined at a later date.

In its opinion ² of July 2024, the High Council of Finance, Section Public Sector Borrowing Requirements, proposed a method for distributing the effort required based on the expenditure aggregate among the various government entities. This opinion will be updated.

2 Macroeconomic forecasts

The data and projections in this section come from the European Commission's Autumn Forecast for Belgium.

In accordance with the provisions of Regulation (EU) 2024/1263, this section provides the forecasts and assumptions regarding the main macroeconomic variables underlying the proposed net expenditure path. In particular, a plausible scenario for the potential, real, and nominal growth of gross domestic product (GDP) is proposed for the period 2024-2029. These forecasts are in line with the main budgetary figures of the plan and with the commonly agreed methodology of the debt sustainability analysis (DSA) of the European Union (EU), which is applied to all Member States.

Since the macroeconomic projections presented in this section are based on the European Commission's Autumn Forecast and commonly agreed EU assumptions, the macroeconomic

forecasts may differ from those prepared by the Federal Planning Bureau based on its econometric model, and which will serve as the basis for the preparation of the future budgetary documents, except for the estimate of the GDP deflator for 2025.

Economic growth

The Commission's Autumn Forecast projects an economic growth of 1.1% for Belgium in 2024. This subdued growth is largely due to weak domestic demand.

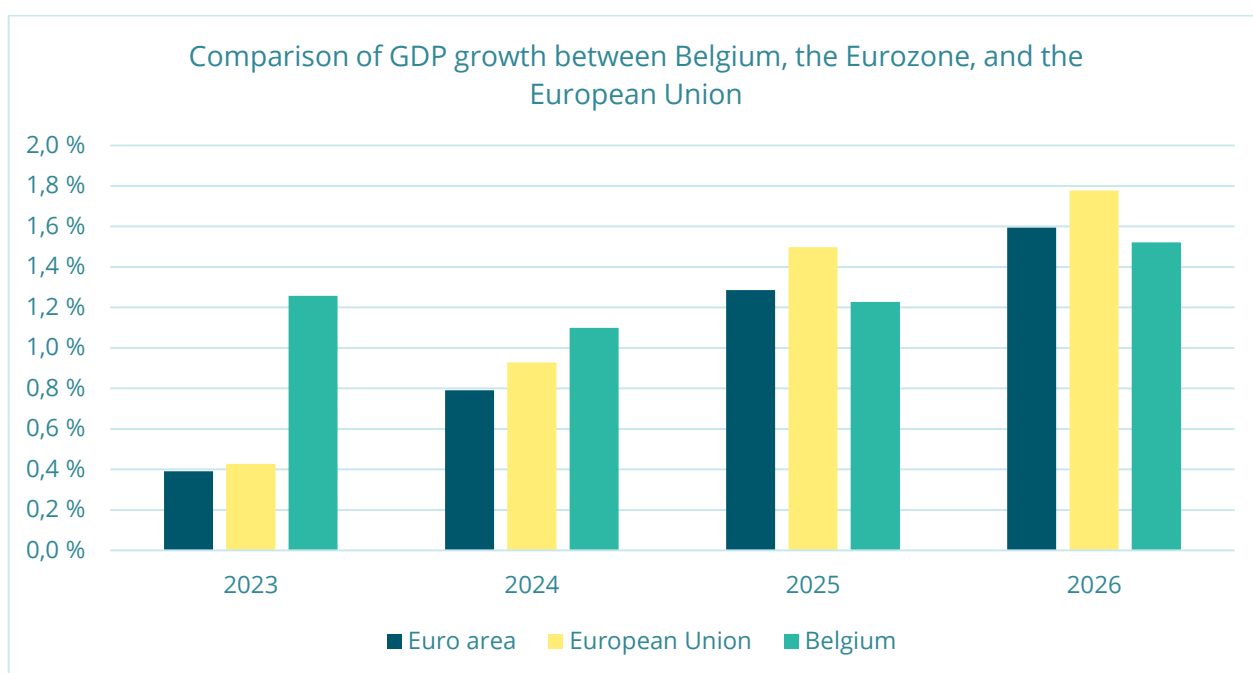
Private consumption grew only moderately, reflecting the weakening of purchasing power and employment growth. At unchanged policies, private consumption should increase slightly in the years covered by the projections combined with a moderate increase in disposable income and a slight decline in the savings rate.

After a significant increase in 2024, business investments are expected to continue growing at a more moderate pace, thanks to lower financing costs and improved prospects for foreign demand. Household investments, on the other hand, remain very limited. Overall, investments could increase in the coming years as a result of the RRP.

In 2024, exports decreased more slowly than imports, leading to an improvement in the trade balance and hence growth. For 2025 and 2026, imports are expected to grow faster than exports due to the increasing private consumption. This would ultimately result in a negative contribution from net exports to GDP growth in 2025. In 2026, the contribution would be zero.

Ultimately, GDP growth would be 1.2% in 2025 and 1.5% in 2026 at unchanged policies. It appears that the growth rate in Belgium will be slightly lower than that of the European Union and the Eurozone, in contrast to 2023 and 2024, when Belgium maintained a higher growth rate due to sustained domestic demand.

Figure 1: Comparison of GDP growth between Belgium, the Eurozone, and the European Union



Source: EC autumn forecast

According to Table 2, which presents the macroeconomic scenario and the impact of the net expenditure path on GDP until 2029, it appears that the trajectory would have a downward impact on GDP growth, causing it to decrease to 1.0% in 2025 and 2026. The negative effects of the fiscal adjustment on growth would then weaken in the later years of the plan.

This scenario is calculated according to the Commission's method² and does not take into account the positive effect of structural measures on potential growth and employment.

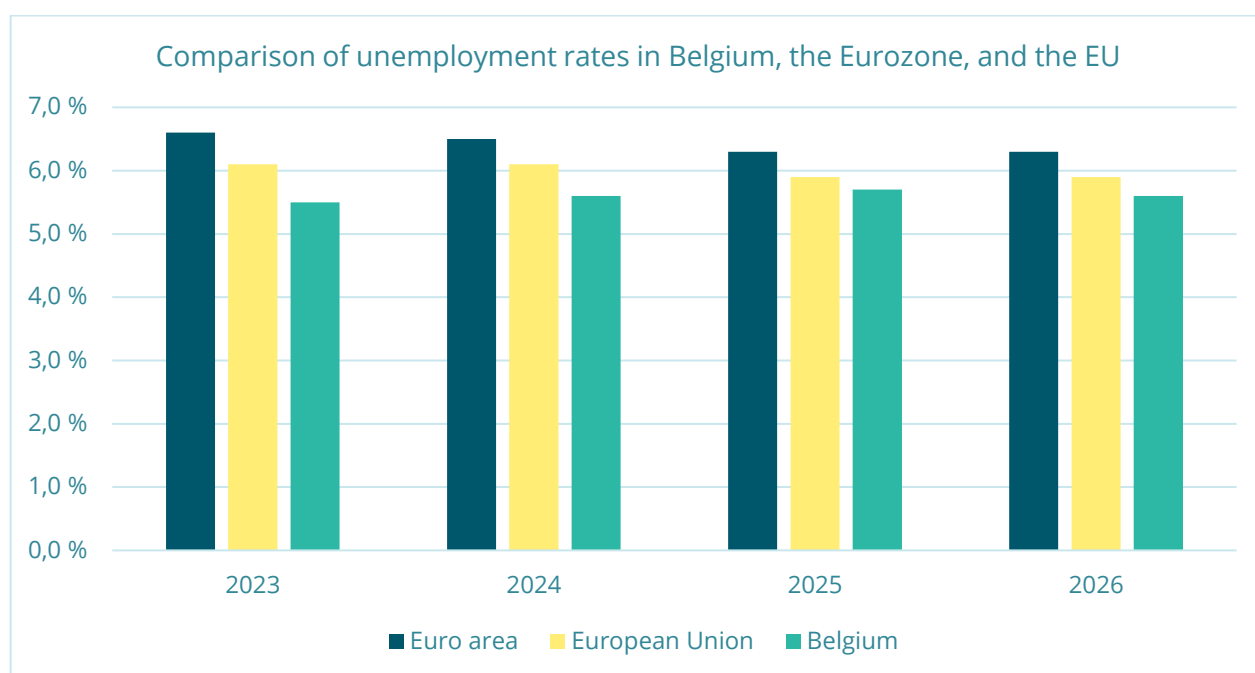
Labour market

The Commission's forecasts show slower employment growth for 2024, mainly due to a decline in employment in the industry and retail sectors. Employment growth for 2024 is projected to end up at 0.3%. At unchanged policies, the employment rate would show more regular growth in the following years, keeping the unemployment rate stable at around 5.6%, which would remain below the Eurozone and European Union averages in 2025 and 2026.

Wage growth is expected to slow down as inflation gradually decreases.

² The feedback effect of the fiscal adjustment on (actual) GDP growth is taken into account through a standard fiscal multiplier of 0.75 • The output gap is closed over 3 years after the end of the adjustment period.

Figure 2: Comparison of unemployment rates in Belgium, the Eurozone, and the EU



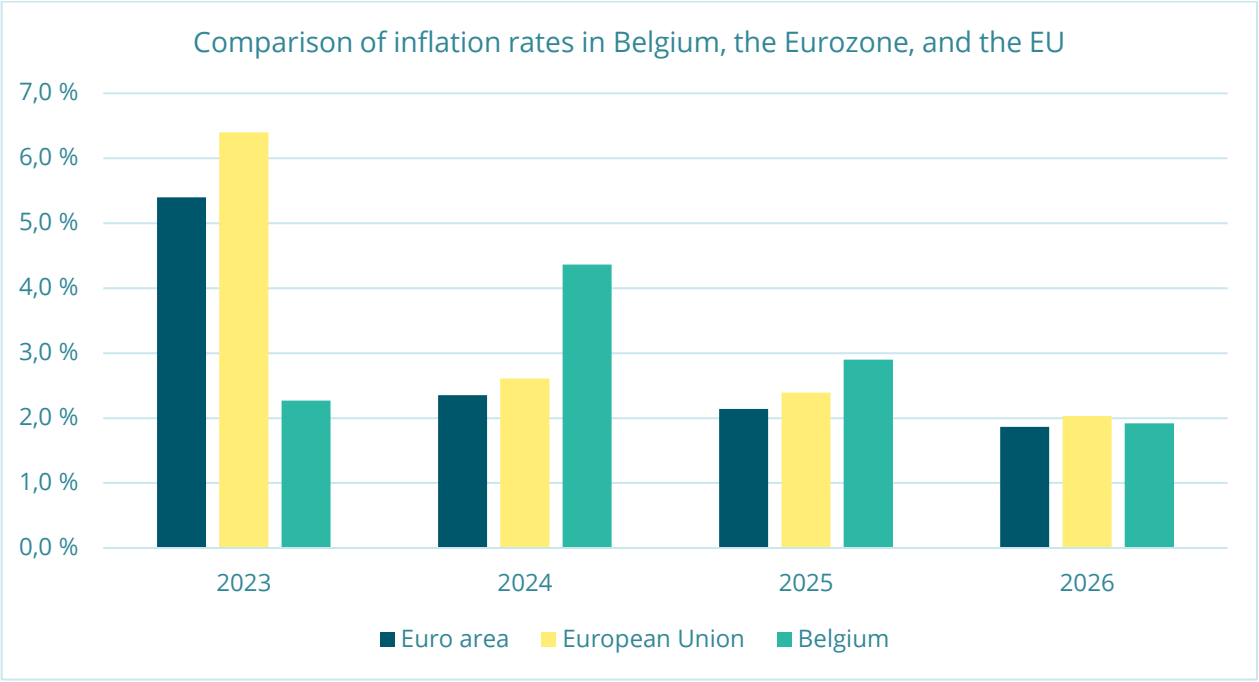
Source: EC autumn forecast

Inflation

In the Commission's Autumn Forecast, inflation for 2024 was estimated at 4.4%, factoring in the withdrawal of energy support measures. Inflationary pressures are expected to be gradually brought under control in 2025 (2.9%) and 2026 (1.9%).

Because Belgium's consumer price index is more sensitive to changes in energy prices, inflation in Belgium has moved at a different pace compared to other countries in the Eurozone and the European Union. In 2023, the negative energy price inflation contributed to a decrease in inflation in Belgium. In 2024, the rise in energy prices had the opposite effect, but in the coming years, price trends in Belgium are expected to gradually align with those in the Eurozone and the EU.

Figure 3: Comparison of inflation rates in Belgium, the Eurozone, and the EU



Source: EC autumn forecast

Table 2 presents the macroeconomic scenario, accounting for the net expenditure path.

Table 2: Macroeconomic scenario

		2023	2023	2024	2025	2026	2027	2028	2029
GDP	ESA-code	bn NAC	growth rate						
1 Real GDP	B1*g		1,3	1,1	1,0	0,9	1,5	1,2	1,2
2 GDP deflator			4,5	2,7	2,5	2,1	2,1	2,1	2,2
3 Nominal GDP	B1*g	596,3	5,8	3,8	3,5	3,0	3,7	3,4	3,4
Components of real GDP		bn NAC	growth rate						
4 Private consumption expenditure	P.3		0,6	0,9					
5 Government consumption expenditure	P.3		3,2	1,5					
6 Gross fixed capital formation	P.51		3,5	0,6					
7 Changes in inventories and net acquisition of valuables (% of GDP)	P.52 + P.53		0,0	-0,8					
8 Exports of goods and services	P.6		-3,3	-1,9					
9 Imports of goods and services	P.7		-2,6	-2,6					
Contribution to real GDP growth									
10 Final domestic demand			1,9	1,0					
11 Changes in inventories and net acquisition of value	P.52 + P.53		-0,4	0,0					
12 External balance of goods and services	B.11		-0,2	0,2					
Deflators and HICP			growth rate						
13 Private consumption deflator			6,0	2,2					
14 p.m. HICP			2,3	4,4					
15 Government consumption deflator			5,9	3,0					
16 Investment deflator			4,8	1,9					
17 Export price deflator (goods and services)			-0,6	0,8					
18 Import price deflator (goods and services)			-1,6	-0,9					
Labour market		level	growth rate						
19 Domestic employment (1000 persons, national accounts)		5.092,4	0,8	0,3					
20 Average annual hours worked per person employed		1.593,3	0,2	0,2					
21 Real GDP per person employed			0,5	0,8					
22 Real GDP per hour worked			0,3	0,6					
23 Compensation of employees (bn NAC)	D.1	292,7	8,7	3,4					
24 Compensation per employee (=23/19)		57,5	7,9	3,1					
%									
25 Unemployment rate (%)			5,5	5,6					
Potential GDP and components			growth rate						
26 Potential GDP			2,0	1,7	1,6	1,4	1,4	1,2	1,2
Contributions to potential growth									
27 Labour			0,9	0,7					
28 Capital			0,6	0,6					
29 Total factor productivity			0,4	0,3					
% pot. GDP									
30 Output gap			0,2	-0,4	-1,0	-1,5	-1,4	-1,4	-1,4

Table 3 presents the exogenous assumptions underlying the macroeconomic and fiscal projections.

Table 3: External assumptions

External assumptions			2023	2024	2025	2026	2027	2028	2029
1	Short-term interest rate	(%, annual average)	3,4	3,5	2,1	2,0	2,1	2,2	2,2
2	Long-term interest rate	(%, annual average)	3,1	2,9	2,9	3,1	3,2	3,3	3,4
3	USD/EUR exchange rate	(annual average)	1,1	1,1					
4	NAC/EUR exchange rate (only for non EA member states)	(annual average)							
5	World excluding EU, GDP growth	(growth rate)	3,7	3,5					
6	EU GDP growth	(growth rate)	0,4	0,9					
7	World import volumes, excluding EU	(growth rate)	1,3	3,2					
8	Oil prices	(Brent, USD/barrel)	82,5	80,7					

3 General policy framework

The priorities of the different governments for the coming years are largely similar and mutually reinforcing.

The various governments of the country have made improving public finances their priority for the next five years. According to the National Bank of Belgium's annual report, the public deficit rose to 4.6% of GDP in 2024, while public debt increased to 104.4% of GDP. This is a situation that the different governments intend to address during this legislature. At the same time, the different governments will address the challenges they face over the next five years.

With over 20% of its population aged 65 and over, Belgium faces a significant challenge regarding the ageing of its population and the long-term sustainability of Social Security. Necessary measures, including a pension reform outlined in the plan, will be taken to contain the costs of ageing and contribute to sustainable public finances.

Additionally, the different governments of the country will aim to focus on an activating labour market policy. To this end, the different levels of government will take the necessary measures, ranging from activating inactive and long-term unemployed individuals through stricter follow-up and guidance of job seekers by the VDAB, the Forem, the Arbeitsamt der Deutschsprachigen Gemeinschaft, and Actiris, to reducing charges on labour. Further on in the plan, the labour market reform to be implemented in the coming years is discussed in greater detail.

Another key reform addressed in this plan is the tax reform, which will include a reduction in the tax burden on labour.

Furthermore, the various governments have outlined measures in their coalition agreements to strengthen the competitiveness of Belgian companies in the coming years.

Moreover, Belgium is making progress in both the digital and green transitions at the federal and regional levels, while confirming its international commitments.

Cooperation between the federal government and the federated entities will be strengthened in the coming years to better align policies on healthcare, the labour market, mobility, climate, and the budget.

At the level of the General Government, a target of 3% of GDP in annual public investment is envisaged.

Finally, the current geopolitical context introduces uncertainty and will require significant investments to further strengthen Belgium's defence capabilities in the coming years.

4 Public finance

Before addressing the fiscal policy that will be pursued by the various government entities in the coming years, the budgetary projections for 2024 and the subsequent years covered by this plan are discussed below.

4.1 Budgetary forecasts

The budgetary figures in Table 4 for 2024 are based on the Federal Planning Bureau's projections. The deficit is estimated at 4.6% of GDP. From line 30 onwards, this table illustrates the projected budgetary variables consistent with the proposed net expenditure path.

Table 4: Budget forecasts

		2023	2023	2024	2025	2026	2027	2028	2029
	ESA code	bn NAC	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
Revenue									
1 Taxes on production and imports	D.2	72,9	12,2	11,9					
2 Current taxes on income, wealth, etc	D.5	96,1	16,1	17,0					
3 Social contributions	D.61	90,0	15,1	15,0					
4 Other current revenue	11+P.12+P.131)+D.39+D.4+D.7	28,7	4,8	4,8					
5 Capital taxes	D.91	4,0	0,7	0,7					
6 Other capital revenue	D.92+D.99	0,9	0,2	0,2					
7 Total revenue (=1+2+3+4+5+6)	TR	292,6	49,1	49,6					
8 Of which: Transfers from the EU (accrued revenue, not cash)		1,5	0,3	0,2					
9 Total revenue other than transfers from the EU (=7-8)		291,1	48,8	49,3					
10 p.m. Revenue measures (increments, excluding EU funded measures)		2,2	0,4	0,5					
11 p.m. One-off measures included in the projections (levels, excluding EU funded measures)		-1,0	-0,2	-0,1					
Expenditure		bn NAC	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
12 Compensation of employees	D.1	73,7	12,4	12,5					
13 Intermediate consumption	P.2	25,2	4,2	4,3					
14 Interest expenditure	D.41	11,9	2,0	2,3	2,3	2,4	2,5	2,6	2,7
15 Social benefits other than social transfers in kind	D.62	102,7	17,2	17,6					
16 Social transfers in kind via market producers	D.632	46,8	7,8	7,9					
17 Subsidies	D.3	22,0	3,7	3,6					
18 Other current expenditure	D.29+(D.4-D.41)+D.5+D.7+D.8	12,5	2,1	1,9					
19 Gross fixed capital formation	P.51	17,0	2,8	3,2					
20 Of which: nationally financed public investment		16,4	2,7	3,0	3,2	3,2	3,1	3,0	3,0
21 Capital transfers	D.9	5,4	0,9	1,0					
22 Other capital expenditure	P.52+P.53+NP	0,4	0,1	0,1					
23 Total expenditure (=12+13+14+15+16+17+18+19+21+22)	TE	317,6	53,3	54,2					
24 Of which: expenditure funded by transfers from the EU (=8)	D.7EU+D.9EU	1,5	0,3	0,2					
25 Nationally financed expenditure (=23-24)		316,1	53,0	54,0					
26 p.m. National co-financing of programmes funded by transfers from the EU (=8)		0,5	0,1	0,1					
27 p.m. Cyclical component of unemployment benefits		-0,1	0,0	0,0					
28 p.m. One-off expenditure included in the projections (levels, excluding EU funded measures)		0,5	0,1	0,0					
29 Net nationally financed primary expenditure (before revenue measures) (=25-26-27-28-14)		303,4	50,9	51,6					
Net nationally financed primary expenditure					growth rate				
30 Net nationally financed primary expenditure growth	MTP table 1a, line 1			4,3	3,6	2,5	2,5	2,1	2,1
Balances		bn NAC	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
31 Net lending/borrowing (=7-23)	B.9	-25,0	-4,2	-4,6	-4,7	-4,6	-4,1	-3,5	-3,0
32 Primary balance (=31-14)	B.9-D.41p	-13,0	-2,2	-2,4	-2,4	-2,2	-1,5	-0,9	-0,3
Cyclical adjustment			% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
33 Structural balance			-4,1	-4,2	-4,0	-3,6	-3,2	-2,7	-2,1
34 Structural primary balance			-2,1	-2,0	-1,8	-1,2	-0,7	0,0	0,6
Debt		bn NAC	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
35 Gross debt		615,0	103,1	103,4	105,1	107,0	107,3	107,3	106,7
36 Change in gross debt		36,7	0,5	0,2	1,8	1,9	0,3	0,0	-0,5
37 Contributions to change in gross debt									
38 Primary balance (=32)			2,2	2,4	2,4	2,2	1,5	0,9	0,3
39 Snowball effect			-3,6	-1,5	-1,2	-0,7	-1,3	-0,9	-0,8
40 Interest expenditure (=14)			2,0	2,3	2,3	2,4	2,5	2,6	2,7
41 Growth			-1,2	-1,1	-1,0	-0,9	-1,6	-1,3	-1,2
42 Inflation			-4,4	-2,7	-2,5	-2,1	-2,2	-2,3	-2,3
43 Stock-flow adjustment (=36-38-39)			2,0	-0,6	0,5	0,4	0,0	0,0	0,0
			%	%	%	%	%	%	%
44 p.m. Implicit interest rate on debt (=14/debt(t-1))				2,2	2,3	2,4	2,4	2,5	2,6

The budgetary projections for the period 2025-2029 are based on a net expenditure path and on assumptions that deviate marginally from those used by the European Commission reference trajectory.

This deviation is justified because the federal government took office on 3 February 2025, which implies that measures implemented for 2025 will have a partial-year impact. It was therefore decided to lower the required structural improvement by half in 2025. Furthermore, the 2025 GDP deflator estimate provided by the Federal Planning Bureau was retained.

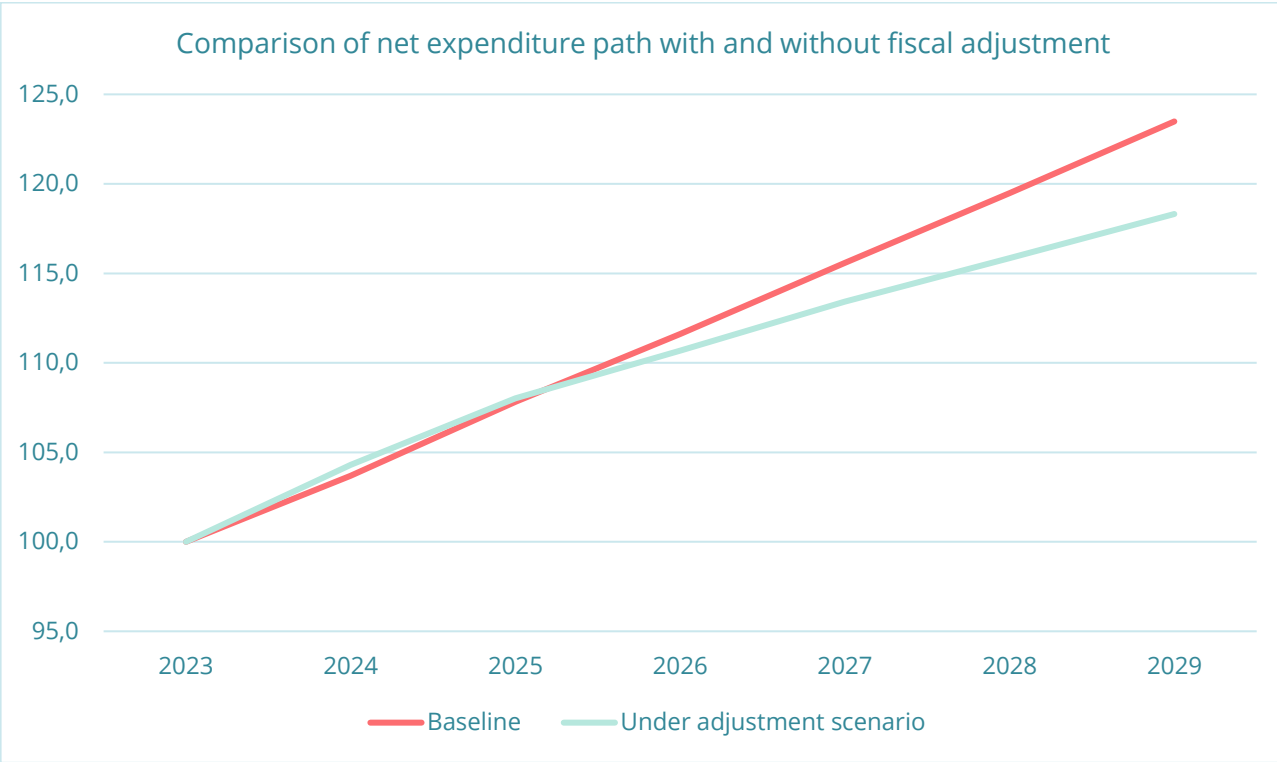
For the ensuing years, Belgium pledges to pursue a more ambitious path, whereby net expenditure growth declines by 0.1 percentage point each year relative to the trajectory proposed by the European Commission.

The additional effort in the following years is illustrated in Annexes 2 and 3 by means of Table 1a and Table 1b, which show a trajectory up to 2031.

Belgium pledges to ensure compliance with an average net expenditure growth rate of 2.56% across the subsequent five years.

The following graph illustrates the difference between the scenario taking into account the net expenditure path and the baseline scenario, as calculated according to the European Commission's methodology.

Figure 4: Comparison of net expenditure path with and without fiscal adjustment



Source: Net expenditure path

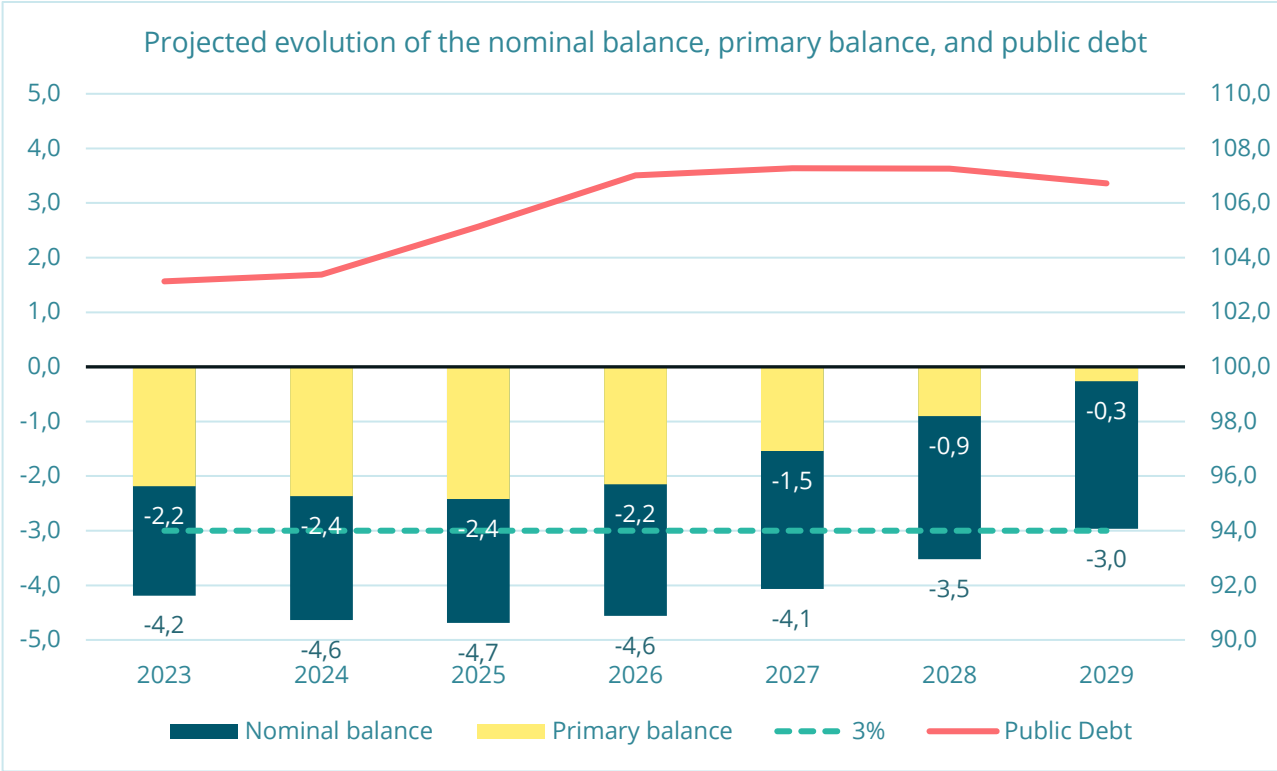
The reduced net expenditure growth rate will enable the primary balance to approach equilibrium by 2029.

Nevertheless, the primary balance is predicted to remain negative until the end of the plan period, leading to growth in the debt ratio up to 2027. In 2028, the snowball effect will surpass the negative primary balance, resulting in a decline in the debt ratio.

The decline of the nominal deficit, which is less pronounced than the decline of the primary balance, is explained by rising interest expenditures across the plan period. This situation reflects both the rising debt ratio until and including 2027 and the assumptions regarding short-term and long-term interest rates.

In the early stages of the period, a restrained reduction in the nominal balance is observed, attributable in part to the fiscal multiplier³ employed by the European Commission. Starting in 2027, the data demonstrates a clear dynamic of a declining deficit.

Figure 5: Projected evolution of the nominal balance, primary balance, and public debt



Source: Projected evolution of fiscal variables based on the net expenditure path.

Table 5 shows, for 2023 and 2024, a breakdown of the estimated budgetary impact, expressed as a percentage of GDP, of revenue measures and one-offs, classified by ESA code.

³ A standard fiscal multiplier of 0.75 is utilised to calculate the feedback effect of the fiscal adjustment on (real) GDP growth.

Table 5: Impact of discretionary revenue measures.

Title/description measure	One-off Exp/Rev		ESA Code	2023 % GDP	2024 % GDP
Aggregated measures D.2	No	Rev	D.2: Taxes on production and imports	0,35%	0,03%
Aggregated measures D.5	No	Rev	D.5: Current taxes on income, wealth, etc	0,41%	0,19%
Aggregated measures D.61	No	Rev	D.61: Social contributions	-0,15%	0,19%
Aggregated measures D.91	No	Rev	D.91: Capital taxes	0,00%	0,02%
Aggregated measures P.11+P.12+P.131+D.39+D.7+D.9 (other than D.91)	No	Rev	P.11+P.12+P.131+D.39+D.7+D.9 (other than D.91): Other	0,00%	0,02%
Aggregated measures D.2	Yes	Rev	D.2: Taxes on production and imports	0,01%	-0,01%
Aggregated measures D.5	Yes	Rev	D.5: Current taxes on income, wealth, etc	-0,24%	0,02%

As indicated in Table 6a, and based on the Commission's assumptions, the requirements of the European fiscal framework are projected to be met. A reduction in the general government balance, kept below 3% of GDP in the medium term, is accompanied by a plausible downward path for public debt, initiated at the end of the adjustment period and sustained throughout the medium term.

Table 6b indicates that these requirements remain satisfied even in the event of adverse scenarios.

Table 6a⁴: Projections of debt and nominal balance, with key underlying assumptions, based on the planned budget path

			2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041
1	Gross debt	% GDP	103,1	103,4	105,1	107,0	107,3	107,3	106,7	105,6	104,0	102,0	99,9	97,7	96,0	94,4	92,9	91,4	90,1	88,8	87,6
2	General government balance	% GDP	-4,2	-4,6	-4,7	-4,6	-4,1	-3,5	-3,0	-2,5	-2,0	-1,8	-1,7	-1,5	-1,7	-1,8	-1,9	-2,0	-2,1	-2,1	-2,2
3	Structural primary balance	% pot. GDP	-2,1	-2,0	-1,8	-1,2	-0,7	0,0	0,6	1,1	1,6	1,6	1,6	1,6	1,6	1,6	1,6	1,6	1,6	1,6	1,6
4	Cyclical component	% pot. GDP	-0,1	0,2	0,6	0,9	0,9	0,9	0,9	0,8	0,8	0,5	0,3	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0
5	One-off measures	% GDP	-0,2	-0,1	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0
6	Interest expenditure	% GDP	2,0	2,2	2,3	2,4	2,5	2,6	2,7	2,8	2,8	2,8	2,9	2,9	2,9	2,9	2,9	2,9	2,9	2,9	2,8
7	Long-term interest rate	%	3,1	2,9	2,9	3,1	3,2	3,3	3,4	3,5	3,6	3,7	3,8	3,9	3,9	3,9	3,9	3,9	3,9	3,9	3,9
8	Short-term interest rate	%	3,4	3,5	2,1	2,0	2,1	2,2	2,2	2,3	2,4	2,5	2,6	2,7	2,6	2,6	2,6	2,5	2,5	2,5	2,4
9	Implicit average interest rate	%	2,1	2,2	2,3	2,4	2,4	2,5	2,6	2,7	2,8	2,8	2,9	3,0	3,0	3,1	3,1	3,2	3,2	3,3	3,3
10	Stock-flow adjustment	% GDP	2,0	-0,5	0,5	0,4	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0
11	Potential GDP	growth rate	2,0	1,7	1,6	1,4	1,4	1,2	1,2	1,1	1,1	1,1	1,1	1,1	1,2	1,3	1,4	1,5	1,6	1,7	1,6
12	Real GDP	growth rate	1,3	1,1	1,0	0,9	1,5	1,2	1,2	1,2	1,2	1,5	1,5	1,5	1,2	1,3	1,4	1,5	1,6	1,7	1,6
13	GDP deflator	growth rate	4,5	2,7	2,5	2,1	2,1	2,1	2,2	2,2	2,2	2,3	2,3	2,4	2,3	2,3	2,3	2,3	2,3	2,2	2,2
14	Nominal GDP	growth rate	5,8	3,8	3,5	3,0	3,7	3,4	3,4	3,5	3,5	3,8	3,9	3,9	3,6	3,7	3,7	3,8	3,9	3,9	3,9

⁴ Tables 6a and 6b are aligned with the European Commission guidelines as presented in Tables 7a and 7b

Table 6b⁵: Debt projections and key stress variables, deterministic scenarios and stochastic simulations

	Financial stress scenario		2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041
1	Gross debt	% GDP	103,1	103,4	105,2	106,8	106,9	106,8	106,3	105,4	104,1	102,6	100,9	99,1	97,8	96,5	95,4	94,3	93,3	92,3	91,5
2	Long-term interest rate	%	3,1	2,9	2,9	3,1	3,2	3,3	3,4	3,5	3,6	5,5	3,8	3,9	3,9	3,9	3,9	3,9	3,9	3,9	3,9
3	Short-term interest rate	%	3,4	3,5	2,1	2,0	2,1	2,2	2,2	2,3	2,4	4,3	2,6	2,7	2,6	2,6	2,6	2,5	2,5	2,5	2,4
Lower SPB scenario																					
4	Gross debt	% GDP	103,1	103,4	105,2	106,8	106,9	106,8	106,3	105,4	104,1	102,3	100,8	99,8	98,9	98,0	97,2	96,6	96,0	95,5	95,1
5	Structural primary balance	% pot. GDP	-2,1	-2,0	-1,5	-1,1	-0,6	-0,1	0,4	0,9	1,3	1,1	0,8	0,8	0,8	0,8	0,8	0,8	0,8	0,8	0,8
Adverse 'r-g' scenario																					
6	Gross debt	% GDP	103,1	103,4	105,2	106,8	106,9	106,8	106,3	105,4	104,1	102,9	101,7	100,4	99,6	99,0	98,4	98,0	97,7	97,4	97,2
7	Long-term interest rate	%	3,1	2,9	2,9	3,1	3,2	3,3	3,4	3,5	3,6	4,2	4,3	4,4	4,4	4,4	4,4	4,4	4,4	4,4	4,4
8	Short-term interest rate	%	3,4	3,5	2,1	2,0	2,1	2,2	2,2	2,3	2,4	3,0	3,1	3,2	3,1	3,1	3,1	3,0	3,0	3,0	2,9
9	Real GDP	growth rate	1,3	1,1	0,8	1,0	1,6	1,4	1,2	1,2	1,1	1,0	1,0	1,0	0,7	0,8	0,9	1,0	1,1	1,2	1,1
10	Potential GDP	growth rate	2,0	1,7	1,6	1,4	1,4	1,2	1,2	1,1	1,1	0,6	0,6	0,6	0,7	0,8	0,9	1,0	1,1	1,2	1,1
Stochastic simulations																					
11	Probability of debt being below its value in t + 4/7	%	75,7																		

4.2 Fiscal policy

In 2024, the European Union agreed on the new European fiscal framework. A key component of this new agreement is the medium-term fiscal-structural plan. The various governments are therefore committed to respect the budget path described in this plan to halt the rise in the deficit and debt ratio and exit the excessive deficit procedure launched in June 2024.

4.2.1 Entity I

Fiscal framework: Limited new policies

The federal government aims to reverse the dramatic decline at unchanged policy and limit the Entity I budget deficit to below 3% by 2030.

In pursuit of this objective, the federal government is implementing and funding only those “new” and necessary policies. This essentially includes:

- A budgetary reallocation for Defence, in addition to the STAR-plan. Most of the additional funding will be through a newly created Defence Fund. This fund will be financed through asset sales, with initial funding secured by 31 December 2025.
- Refinancing measures for local governments are intended to address the effects of federal labour market reforms and enhance the sustainability of pension obligations in the coming years.
- Supplementary financial resources must be provided to security departments to enable the full resumption of their core functions.
- A limited allocation for new policies across various domains.
- The balance of the tax reform.
- A reform of thematic leave to enable sustainable long-term employment.
- Funding for the most vulnerable.

A balanced distribution system

The total budgetary expenditure will be distributed as follows:

- Largely through the repercussions of structural reforms on the labour market and pensions, among other factors. It is projected that, by the conclusion of the legislative term, this will constitute over two thirds of the total effort.
- The rest will be through discretionary measures. It is projected that, by the conclusion of the legislative term, this will constitute under one-third of the total effort. To achieve this, the government proposes a breakdown of at least two thirds through expenditure control

and no more than one third from contributions by higher earners and miscellaneous income.

Slower expenditure growth

To control the expenditure growth, the federal government is focusing on creating a more efficient government by prioritising core tasks, phasing out subsidies, eliminating overlaps between regional and federal responsibilities, and implementing a more decisive migration policy, among other measures.

It is essential that politicians demonstrate leadership in fiscal responsibility by contributing to and setting an example for the improvement of public finances through various interventions. The government is achieving this by curtailing funding for political parties, ending of advantageous pension regimes, and streamlining structures.

Belgium faces a significant challenge as its ageing population exerts increasing pressure on the healthcare budget. An ageing population increases demand for care and support, creating financial pressure and challenging the capacity of the healthcare system. Reforms and targeted interventions are essential to ensure the long-term quality and affordability of healthcare. This will further increase transparency regarding the expenditure of funds and the decision-making process.

A fair share of contributions from those with the greatest financial capacity

In light of the substantial efforts required of Belgium, it is imperative that those with the greatest financial capacity contribute fairly to future prosperity. The federal government aims for an equitable policy where those with greater capacity bear a proportional responsibility and make an additional contribution.

In order to secure this contribution, the government intends to broaden the tax base through the curtailment of existing exemptions. A broad, low-rate tax base, respecting previously acquired capital, is the optimal way to sustain economic growth and efficiently meet fiscal needs.

Beyond broadening the tax base, further measures will be adopted to enhance contributions from targeted sectors and high-income individuals, ensuring minimal adverse economic consequences.

The proceeds generated from equitable taxation measures will be primarily directed towards public finance consolidation and the implementation of tax reform.

Overview of remediation effort

The table below shows the remediation effort of Entity I over the period 2025-2029.

Table 7.1⁵: Indicative revenue and expenditure measures applicable to Entity I

<i>In EUR billion (+ = balance improvement)</i>	2025	2026	2027	2028	2029
Institutional and political simplification	0,05	0,06	0,07	0,08	0,12
Lean & efficient government (general)	0,14	0,58	0,82	1,14	1,63
Reduction of subsidies and contributions	0,26	0,50	0,81	0,96	1,05
Other migration policies	0,00	0,73	0,97	1,22	1,41
Healthcare / NIHDI	0,00	0,32	0,52	0,57	0,52
Labour market and pension reform	0,27	1,64	3,32	4,41	5,08
Tax reform	-0,61	-0,43	-0,54	-0,58	-3,86
Contribution from those with the broadest shoulders and other	0,69	1,36	1,82	1,98	2,27
Prosperity envelope	0,59	1,20	1,63	2,22	2,84
Miscellaneous	0,02	-0,08	-0,57	-0,90	-0,89
Impact of 80% employment rate (cruising speed 2030)	0,00	1,58	2,77	4,05	7,89
Total excluding Defence	1,40	7,46	11,62	15,17	18,06
<i>Defence (off-budget)</i>	<i>-0,77</i>	<i>-0,76</i>	<i>-0,80</i>	<i>-0,90</i>	<i>-1,00</i>

4.2.2 Entity II

4.2.2.1 Flanders

The Flemish government is dedicated to ensuring sustainable and durable public finances throughout the current legislative term. A healthy budget is essential to maintain Flanders' prosperity in a changing context, safeguarding our security and competitiveness while realising the digital and climate transition and sustaining our social services.

The Flemish government's coalition agreement for the 2024-2029 term establishes a balanced budget as its medium-term objective, commencing in 2027. Specific items are exempted from this objective, namely the construction costs associated with the Oosterweel link and the Flemish economic recovery plan "Vlaamse Veerkracht", which extends until 2026. The projected nominal balance indicates a deficit for the years 2024 and 2025. The implemented measures are projected to halve the deficit from 2026, reaching and maintaining a balanced budget from 2027.

As a primary objective, Flanders is committed to controlling public spending. Flanders is committed to the expansion of its performance-informed budget, drawing upon the conclusions of the OECD study regarding performance-based budgeting in Flanders. Performance-based budgeting facilitates the ongoing evaluation of resource allocation effectiveness and efficiency, thereby enabling informed decision-making by the Flemish Government. Sixteen spending reviews will be undertaken during this legislative period. The findings may serve as a basis for the implementation of a minimum of EUR 90 million in recurrent efficiency savings within the 2027 budget preparation process.

⁵ Tables 7 follow the European Commission guidelines of Tables 6.

A comprehensive examination of policies with budgetary impact, the second “Vlaamse brede overweging”, will be carried out in the second half of the 2024-2029 legislature. The results will constitute a component of the administration's contribution to the coalition agreement.

On the revenue side a fair and simple tax system is envisaged, responding to current social needs. This encompasses reforms of inheritance and gift tax, an adjustment of the right to sell to make the property market more accessible and addressing tax loopholes and inefficient or ineffective preferential regimes. Based on the principle that everyone does their bit, mobility taxation will be extended so that foreign light vehicles and electric vehicles also make a fair contribution to the use of our roads, and kilometre charges for trucks will be optimised.

4.2.2.2 Walloon Region

The Walloon government's budgetary policy for the next five years is based on responsibility and ambition, it is structured around strategic axes to rebalance public finances while strengthening Wallonia's economic and social development.

Under the excessive deficit procedure launched by the European Commission against Belgium in 2024, the Walloon government is shouldering its responsibility and has committed to halving the deficit by 2029 and rebalancing the budget by 2034. This effort will be implemented carefully and decisively, ensuring sound and sustainable management of public funds.

The fiscal consolidation will include all state actors and aims to optimise spending without compromising essential policies. Efficiency is paramount: every euro must be spent wisely for maximum impact.

For the civil service, the staffing plan will be adjusted to align the workforce with actual needs by mobilising and reallocating existing resources. Improved oversight of irregular performance at the Service public de Wallonie (SPW) will be established to mitigate the risk of abuse. At the same time, measures will be taken to reduce operating costs, including through ambitious administrative simplification and by rationalising ministerial cabinets, reducing staff by 10%.

To reduce expenditure and raise awareness among all state actors, the indexation of certain allocations to public administration units (UAP) and local governments will be suspended.

In terms of employment, the government is committed to modernising existing schemes (SESAM, Impulsion, CISP, MIRE, PWA, MDE) to enhance efficiency. In addition, the indexation of subsidies to APEs from local governments and traders is frozen from 2025 to 2029.

Aware of the need for a fair and dynamic tax system, the government is committed to not introducing any new taxes. On the contrary, it aims to reduce the tax burden through two major reforms: registration duties and inheritance taxes.

The Walloon regional government has reaffirmed its commitment to the Recovery Plan, focusing investments on projects that provide high added value for the economy and citizens' well-being. New facilities will include additional childcare spaces, a doubling of the preventive healthcare

budget to combat chronic diseases and addiction, and an ambitious programme to renovate artworks, ensuring the safety and sustainability of essential infrastructure.

With a pragmatic and responsible approach, the Walloon government is steering the region towards strict budgetary management, balancing economic ambition, social justice, and control over public finances.

Table 7.2: Indicative revenue and expenditure measures for the Walloon Region

Title/description of the measure		Planned implementation
1	Civil service reform	2025-2029
2	Reform of registration fees	2025-2029
3	Controlling grants and subsidies	2025-2029
4	Controlling PAU operating expenditure	2025-2029
5	Controlling local authority funding	2025-2029

4.2.2.3 Brussels-Capital Region

At the time of drafting this plan, the Brussels-Capital government was still having a caretaking government. It will be the responsibility of the next government to set out its fiscal policy for the coming years.

4.2.2.4 French Community

The main fiscal measures outlined in this summary focus on expenditure. Most of the revenue (97%) of the Fédération Wallonie-Bruxelles (FWB) budget comes from the federal government, based on the provisions of various special financing laws. The decisions reflect the key budgetary provisions of the FWB's policy statement, and their implementation was confirmed through the 2025 budget process, which took place between September and November 2024.

Non-indexation of certain allocations to public administrative bodies

Most public administrative institutions (AOIs) within the budgetary and accounting perimeter of the FWB receive an allocation from the main entity's budget. To help reduce the entity's overall deficit, it was decided to freeze the indexation of their allocation at the 2024 level, with no further indexing during the 2025-2029 legislature. This principle was applied to most AOIs; however, for some, the government made exceptions after consultation and justification.

Reducing the allocation of discretionary grants and modifying the procedures for awarding them

To optimise and harmonise the mechanisms for awarding discretionary grants, the government first decided to remove some of them. It then explored the allocation of discretionary grants to sustain existing ones and support innovative initiatives.

Reductions in ministerial cabinet spending

Thanks to a reduction in the number of full-time equivalents (expressed as a Reference Multiplier Effect, or RME) across all cabinets of the Fédération Wallonie-Bruxelles government members, the 2025 budget was reduced in the initial draft.

Increase in additional registration fees for non-European international students

This measure aims to ensure a more equitable contribution from non-European international students in higher education. It involves the introduction of an additional contribution that higher education institutions can use directly, without obstacles and with full autonomy, unlike the previous system for Haute École (HE) and Établissement Supérieur des Arts (ESA). The government will reduce the decree ceiling and set the contribution amount at €4,175. To protect students from less privileged countries, the government has established the conditions under which students are exempt from this contribution.

Revision of qualifying education

This includes improving the functioning of qualifying education and directing students to more suitable levels of compulsory education.

Students entering the 7th technical and vocational year who already have a diploma (CESS) will be referred to ("adult") education for social promotion. Additionally, students who have reached the age of majority and re-enrol in the 3rd and 4th years of secondary school after dropping out of school will also be referred to adult education. Finally, the number of teachers in qualifying courses will be reduced to 97% of the current level in order to decrease the number of classes with fewer than 10 students.

Managing transport costs for teaching staff

Transport costs (public transport and bicycle) for teaching staff are covered by the institutional authorities. To reimburse these costs, the FWB has so far deducted 1% from the budget allocated for schools' operating costs. As this proved insufficient, despite the funds approved during the previous legislature, it was decided to increase them to 2%.

Reduction in operating costs of various administrative public institutions

For some public administrative institutions (AOIs), only operating costs were reduced to avoid negatively impacting investment and the salaries of civil servants and citizens.

Table 7.3: Indicative revenue and expenditure measures for the French-speaking Community

	Title/description of the measure	Impact on income or expenditure	Planned implementation
1	Non-indexation of certain grants to public administration bodies	expenditure	2025-2029
2	Reduction in the granting of optional subsidies	expenditure	2025-2029
3	Reduction in ministerial office expenditure	expenditure	2025-2029
4	Increase in additional registration fees for non-European foreign students	expenditure	2025-2029
5	Review of qualifying education	expenditure	2025-2029
6	Management of teaching staff transport costs	expenditure	2025-2029
7	Reduction in the operating costs of several public administration bodies	expenditure	2025-2029

4.2.2.5 German-speaking Community

The main fiscal measures outlined in this summary focus on expenditure.

In particular, the 2025 and 2026 budgets of the German-speaking Community will be austerity budgets. The German-speaking Community has set a target of saving EUR 15 million in current expenditure by 2025-2026. Among other things, there will be annual savings of at least EUR 4.5 million on staff costs in the German-speaking Community's public services.

The following is a non-exhaustive list of the main savings measures of the German-speaking Community.

Civil service

On civil service matters, they plan to abolish some end-of-year bonuses and automatic promotions, as well as implement savings in local governments, government cabinets, and Parliament.

Employment

In the area of employment, indexations of targeted employment aid are temporarily suspended, and allocations to institutions are adjusted.

Family and seniors

It was decided to introduce an index adjustment for family benefits and the care budget for senior citizens. Some end-of-year bonuses have been abolished. Moreover, cuts are being made in the areas of prevention and drug addiction services.

Sports and culture

For sports and culture, allocations to institutions are being adjusted. Cultural subsidies are to be halved.

Perspective

As a reminder, before the outbreak of the Covid-19 crisis, the German-speaking Community was the only region in our country to have structurally balanced fiscal results. The budgets for 2018, 2019, and 2020 therefore showed an ESA balance. The 2020 budget of the German-speaking Community even recorded a surplus of more than EUR 20 million.

In 2020, due to the crises, a budget balance was not pursued. New debts were incurred, and support packages amounting to approximately EUR 300 million were financed.

In line with the budget path approved by Parliament, the German-speaking Community will be able to meet all the requirements of European accounting standards, avoid new debts, and begin repaying existing ones from 2029.

5 Guarantees

The sustainability of public finances is not only determined, among other factors, by the development of the government's established liabilities but also by that of contingent liabilities. These contingent liabilities are not part of the public debt but represent potential debt. When guarantees (explicit contingent liabilities) are claimed, they lead to capital transfers and thus adversely affect the nominal deficit and, consequently, public debt. However, effective payments as a result of guarantee agreements remained limited in recent years.

The tables below summarise the contingent liabilities at the level of the various sub-entities.

5.1 Entity I

Table of Contingent liabilities 1: Entity I

	List of measures	Approval date	Maximum amount of contingent liabilities (EUR billion) (1)	Estimated impact (EUR billion) (2)
In response to Covid-19	Loan guarantee scheme for viable non-financial businesses, SMEs, self-employed and non-profit organisations - Guarantee I (1)	27/03/2020	50	0
	Loan guarantee scheme for SMEs - Guarantee II (2)	20/07/2020	10	0,21(**)
	Subtotal		50	0,21
In response to the energy crisis	Guarantee scheme for certain credits for natural gas and electricity suppliers and intermediaries with liquidity needs (3)	26/10/2022	0,07	0
	Subtotal		0,07	0
	Guarantees to state-owned companies (4)	/	2,31	2,31
Other	Guarantees to the financial sector (5)	19/12/2012 11/07/2021 2022	39,75	18,059
	Various guarantees (6)	/	0	0
	Subtotal		42,06	20,369
	Total		92,13	20,579

(2) Guaranteed amount outstanding as at 31 December 2024 and/or budgetary provision made

5.2 Entity II

5.2.1.1 Flanders

Table of Contingent liabilities 2: Flanders

List of measures	Approval date	Maximum amount of contingent liabilities (in EUR million)	Estimated take-up (in EUR million)
Guarantees to state-owned companies	entered	166	0
Guarantees to the financial sector	entered		
Various guarantees	entered	10.170	17

5.2.1.2 Walloon Region

Table of Contingent liabilities 3: Walloon Region

List of measures	Approval date	Maximum amount of contingent liabilities (in EUR million)	Estimated take-up (in EUR million)
Guarantees to state-owned companies		8.501,14	
Guarantees to the financial sector			
Various guarantees		1.337,70	

5.2.1.3 Brussels-Capital Region

Table of Contingent liabilities 4: Brussels-Capital Region

List of measures	Approval date	Maximum amount of contingent liabilities (in EUR million)	Estimated take-up (in EUR million)
Guarantees to state-owned companies	31/12/2024	2.409	2.404
Guarantees to the financial sector	31/12/2024	0	0
Various guarantees	31/12/2024	1.171	1.171

5.2.1.4 French Community

Table of Contingent liabilities 5: French Community

List of measures	Approval date	Maximum amount of contingent liabilities (in EUR million)	Estimated take-up (in EUR million)
Guarantees to state-owned companies			843,77
Guarantees to the financial sector			
Various guarantees			

6 Reforms and investment commitments

Belgium's various governments are implementing ambitious reform programmes. For instance, the federal government is implementing a reform programme aimed at:

- consolidating public finances without increasing the tax burden;
- maintaining the affordability of healthcare;
- an increase in the activity rate;
- a reform of migration policy;
- additional investments in security, both civilian and military;
- an adapted energy policy;
- an institutional modernisation of the country.

As provided for in Article 14 of Regulation (EU) 2024/1263, Belgium intends to extend the adjustment period to seven years and envisages to implement a series of specific reforms that meet the requirements to this end.

6.1 Reforms and investments underpinning an extension of the adjustment period

1. Pension reform

To further strengthen the labour market, the government is implementing a pension reform aimed at keeping more people working longer. Derogation regimes and preferential schemes are thereby phased out to achieve a more transparent and equitable pension system. In doing so, the preservation of acquired rights remains essential, and a phased transition is guaranteed to provide adequate adjustment time for all those involved. The pension reform comprises a series of measures grouped into three main categories:

- Accompanying measures to remedy short-term impacts for certain categories;
- Reinforcing the relation between actual working and the acquisition of pension rights;
- Harmonising different pension schemes.

Accompanying measures

A budgetary envelope, reaching EUR 500 million by 2029, was established to fund transition measures for individuals nearing retirement affected by the ambitious pension reform. This approach seeks to keep pension expenditures sustainable over time, while at the same time safeguarding the acquired rights of those close to retirement.

Reinforcing the relation between actual working and the acquisition of pension rights

The introduction of a flexible retirement age will be accompanied by actuarial adjustments. The pension amount will be reduced from 2026 by a malus of 2% (until 2030), 4% (until 2040), and 5% (from 2040) per year of early retirement before the legal age, if the retiree meets the career condition for early retirement but does not meet 35 career years of 156 days with effective work performance and 7,020 effective days worked.

The current pension bonus will be replaced by a new bonus, where the pension amount will be increased by a bonus of 2% (until 2030), 4% (until 2040), and 5% (from 2040 onwards) per year of withdrawal after the statutory retirement age, if the retiree meets 35 career years of 156 days with effective work performance and 7,020 effective days worked. For the career condition test, maternity leave, care-related career breaks/reductions, and birth leave are considered equivalent to periods of effective work performance.

Limitations are placed on making use of assimilated periods for pension calculations for employees and the self-employed. As of 1 January 2027, the calculation of pensions for employees and the self-employed will exclude equivalent periods that comprise more than 40% of their career. The 40% limit will be gradually reduced by 5 percentage points each year, towards 20% by 2031, aligning with the current practice for civil servants. Periods of illness and care leave will be exempted from these provisions.

A future reform will specifically focus on individuals who started their careers at an early age. Eligibility for retirement at the age of 60 will be granted to individuals who have completed 42 career years, with a substantial portion consisting of effective work.

Harmonising different pension schemes

The increasing coefficient will be standardised to 1 for all staff categories, from 1 January 2027 onwards. The increasing coefficient for education and active services (as currently defined) will gradually decrease from 1.05 in 2027 to 1.025 in 2032, with an annual reduction of 0.005. They will remain eligible for early retirement in the future, provided they meet the existing career and age criteria. Appropriate measures concerning adapted work will be implemented. In the context of social dialogue concerning this matter within the police and defence domains, the federal government recognises the specificity of their status and their participation in specialised operational activities.

In line with the already decided reform of the sickness pension for statutory civil servants in the 'Temporary Disability for Civil Servants' (TAVA), new inflows into the system will be stopped from 1 January 2026, ensuring that the system will eventually be completely phased out at the federal, regional, and local levels. A transition to disability and invalidity insurance, consistent with private sector provisions, will be implemented for federal civil servants.

A temporary limitation on the indexation of statutory pensions for civil servants and mixed career pensioners will be imposed, aligning with the employee pension's upper limit. Throughout this period, indexation of the absolute ceiling applicable to civil servants (Wijninckx ceiling) will be suspended.

From 1 January 2027 onwards, within the three pension schemes (employees, self-employed, and civil servants), only calendar years comprising two worked (or equivalent) quarters, representing six months or 156 worked days, will be included in the career condition assessment. A scheme for the inclusion of the first career year will be developed, making use of the available transitional measures envelope. Those who already meet the conditions for early retirement in 2025 will retain the right to retire early. For those relatively close to early retirement, a transitional measure will be provided so that their earliest possible retirement age can only be extended by a limited duration as a result.

The budgetary impact

The government's proposed pension reform, encompassing a wider scope than the measures previously cited, is projected to yield a reduction in pension expenditure of EUR 2.4 billion by 2029. Included in this amount is funding designated for transitional measures (as detailed in line 1 of table 8).

Based on an initial qualitative analysis of the impact of the measures by the Federal Planning Bureau and the Federal Pensions Service, it appears that major measures decided by the government are having a growing impact and will not yet be at cruising speed by 2029.

2. Labour market reform

The measures restated in Table 8 were divided into 2 categories:

- A reform of the unemployment benefits into a short-term insurance system.
- Making feasible a longer working life.

Reforming unemployment benefits

A fundamental reform and simplification of the degressive structure of unemployment benefits will be introduced. Those who become unemployed will receive higher financial protection in the initial period than what currently is the case, through an increased replacement ratio and/or wage ceiling. Over time, the benefit declines at a steeper rate compared to the current situation. The entitlement period for unemployment benefits is restricted to a maximum of two years and is contingent upon the duration of previous employment. Older workers are expected to maintain their availability for employment opportunities until they reach the statutory retirement age.

Evaluation by the Federal Planning Bureau of the temporal limitation of unemployment benefits

The Federal Planning Bureau has conducted an impact assessment regarding the limitation of unemployment benefits in time. According to the Federal Planning Bureau, the long-term effect of these measures on the employment rate is estimated to be around 0.55 percentage points.

Enabling a longer working life

- Enhancing the work-life balance

In order to promote extended working lives, considerations are being given to measures that enable a healthy work-life balance, in which employment can be harmonised with the care for children and dependent parents or relatives. The government is pursuing a flexible end-of-career policy designed to facilitate extended, but sustainable, working lives.

- Modernising employment law

In order to ensure flexible work, a structural, uniform and flexible general 180-hour tax-friendly overtime scheme will be provided, with a reduction in charges for the employer and tax relief for the employee.

The increased cap on student employment, within labour law and social security frameworks, will be made permanent to a maximum of 650 hours. The minimum age requirement for student employment will be set at 15 years.

After consultation with the social partners, the trial period will be reintroduced by 31 December 2025 at the latest: it will now be possible for both parties to terminate the employment contract with 1 week's notice during the first 6 months of the contract.

- A comprehensive plan for the prevention and reintegration of long-term absentees

The foundation of this comprehensive plan rests upon the enhanced empowerment of the five principal actors involved: employers, employees, medical practitioners (treating doctors, occupational doctors, and consulting doctors), health insurance funds, and regional employment services.

3. Tax reform

The tax reform planned by the government aims to reduce the burden on labour, enhance competitiveness, and strengthen investment, while key revenue measures will co-finance these reforms.

The government aims to make work more rewarding. To achieve this, net wages for all workers will increase, with particular attention given to those below the median wage. The financial advantage of working over not working should ultimately exceed EUR 500 net per month. The primary mechanism for this will be an increase in the personal tax allowance for all working people. Moreover, purchasing power will be augmented through the reduction of the special social security contribution and the reinforcement of the social work bonus. Retirees who wish to earn additional income after a full 45-year career or after reaching the statutory retirement age will henceforth pay less tax than currently, through a 33% simple discharge levy.

Measures will be implemented to reduce negative incentives to work. In that context, the deductibility of maintenance payments will gradually decrease from 80% to 50%. Payments to countries beyond the EEA will no longer be deductible. The marital quotient serves as a tax technique to provide a compensation for the non-earning partner. It allocates a portion of the higher-earning partner's professional income to the partner with no or little professional income for tax calculation purposes. From a tax perspective, remaining unemployed is financially beneficial when one's partner is employed. The marital quotient for non-retirees will therefore be halved by 2029. A gradual elimination of the marital quotient is envisaged for pensioners. The tax reduction applicable to unemployment benefits will likewise be eliminated to incentivise employment.

A balanced policy, which incorporates targeted labour cost reductions, is currently being implemented to address the issue of elevated labour costs. This encompasses the implementation of a cap on the employer's social contribution, thereby reducing wage costs for low and middle earnings.

The government will also ensure that energy-intensive industries regain competitive energy prices and stable supplies, allowing these sectors to maintain their competitiveness and continue to support the country's economy.

New investment is encouraged through additional incentives, notably for projects that address climate change and foster economic sustainability. Investing in a future-proof economy not only strengthens competitiveness but also creates a sustainable and attractive investment climate.

To fund the tax reform, those with the greatest wealth and strongest financial capacity will make a fair contribution to future prosperity. To this end, among other things, the taxable base will be broadened so that existing exemptions are curtailed. A broad, low-rate tax base, respecting previously acquired capital, is the optimal way to sustain economic growth and efficiently meet fiscal needs.

Also, following the country-specific recommendations, interventions will be made in tax systems that distort investment decisions. For example, the interest deduction on second homes will be abolished.

General financing measures will be instituted to achieve both the consolidation of public finances and the financing of the tax reform.

Accordingly, a dedicated envelope will be established instead of the welfare envelope, with the purpose of augmenting benefits for the most vulnerable groups. The cost of the tax cut will be more than offset by the measures introduced under the principle that those with the strongest shoulders should contribute more and by the transformation of the welfare envelope.

Evaluation of the tax reform by the Federal Planning Bureau

The Federal Planning Bureau has conducted a long-term impact estimation of the reductions in personal income tax and social contributions as stipulated in the 2025-2029 federal coalition agreement. This analysis reveals that the cumulative effect of reductions in labour taxes, wage costs, and capital income taxes would yield a 0.87% increase in GDP over the long-term horizon (2044). Moreover, the decline in labour costs, coupled with increased investment, would precipitate a reduction in prices, thereby bolstering the international competitiveness of the Belgian economy. The Planning Bureau also forecasts that a reduction in labour costs will result in a 0.58% increase in employment.

4. Fostering competitiveness and the business environment

SME plan

By the end of 2025, the federal government will develop an SME plan, with a focus on start-ups, implementing cross-cutting measures to create a more attractive business environment for small and micro-enterprises. In accordance with the Think Small First principle, efforts are being made to implement bespoke regulations, accompanied by fewer administrative burdens and a targeted reduction of costs.

Improving administrative efficiency

To simplify or remove administrative obligations for entrepreneurs (self-employed, SMEs, and large enterprises), each government minister will submit a list to the Council of Ministers by 30 June 2025. On this basis, a plan will be developed with concrete measures in different areas to significantly improve administrative efficiency. Finally, a law reducing compliance costs in tax and labour matters, among others, will be enacted by the end of 2025.

Public procurement contracts

To facilitate the access of enterprises and SMEs to public procurement, federal legislation will be simplified where possible. Due consideration will be given to the manner in which candidates' historical experience and performance can be taken into account when awarding contracts.

Digitalisation of government services

All government administrations will be required to use e-Box from 2026 onwards. Efforts will be made to maximise synergy between e-Box citizen and e-Box enterprise. The government pledges to implement the Royal Decree pertaining to the implementation of the E-Box Act.

5. Enhancing the efficiency and quality of public spending

The coalition agreement is dedicated to creating a lean and efficient government. This will be achieved, on one hand, through linear savings in terms of work and staff and, on the other, by pursuing a more efficient organisation.

Spending reviews

The use of the spending review within the federal government, for both political decisions and recurring government tasks, will be continued and expanded. At the start of the government term, the Budget Minister will develop a spending review strategy with clear parameters to be presented to the Council of Ministers. Within this strategy, a non-exhaustive list of spending reviews will be established at the start of the government term. The number of spending reviews will be limited to about three per year. Any expenditure review that extends beyond administrative functions to evaluate policies will involve the relevant minister, without compromising the objectivity of the process.

Among other measures, these targeted spending reviews will involve an objective assessment of current ESA spending, conducted in cooperation with the Federal Planning Bureau, the National Bank of Belgium, the Finance Inspectorate, the FPS BOSA, and the relevant administrations. The spending reviews will always include proposals to optimise operations and thereby reduce overall spending. To increase engagement, any savings made can be partly used as reinvestment within the service concerned.

Reorganisation of the federal government

A consolidation exercise will be undertaken by merging or integrating Federal public services (FPSs) or reallocating competences within them, also considering integration proposals from the FPSs themselves.

The College of Presidents will be asked to submit a proposal regarding the reorganisation of the social and economic federal public services in a broad sense, with the aim of maximising synergies and thus creating a strong public service in social affairs, while also shaping a common and efficient policy in the areas of economy, energy, and transport. The following parameters will be used for this purpose: budget, citizen services, and the optimal use of cross-cutting services.

This proposal to reform the FPS landscape will be presented to the Council of Ministers by 30 May 2025. The Government is committed to reaching an agreement on this reform before the preparation of the 2026 budget.

Additionally, smaller entities, beginning with those with fewer than 500 full-time equivalents (FTEs), are being targeted to achieve efficiency gains through mergers, integrations, or shared support services, where appropriate.

Reduction of subsidies

The proposed exercise on subsidies goes beyond merely phasing them out; it is also part of a more systematic approach to managing them. At the start of the legislature, a comprehensive subsidy framework will be developed at the federal level with clear definitions and standardised procedures for granting optional subsidies. The requirement for each administrative body to maintain a subsidy register, as outlined in Article 7 of the Law of 12 May 2024 amending the Law of 11 April 1994 on administrative transparency, will continue to be implemented. This subsidy register will provide the government and all citizens with a clear overview of all subsidies granted and their beneficiaries. The establishment of an inter-federal register is foreseen in the future.

6. Coordination of fiscal policy across the different levels of government

In successive state reforms, significant areas of responsibility and their associated budgets were transferred from central government to the Communities and Regions. The Communities and Regions have a large degree of budgetary autonomy. Good coordination of fiscal policy between different governments is thus an important prerequisite for meeting European requirements as well. The new rules that came into force at the European level last year make it necessary to thoroughly review the existing coordination mechanisms. The federal government will begin discussions with the Communities and Regions to adapt the cooperation agreement of 13 December 2013 to align with the new European rules. Among other things, the concept of expenditure growth and the control account will need to be adapted to the Belgian context.

The Section “Public sector borrowing requirement” of the High Council of Finance plays a key role as an independent body that supports fiscal policy through its opinions. The Section's role should be aligned with the new European framework through an adaptation of the Royal Decree of 23 May 2018 and the aforementioned cooperation agreement.

Table 8: Reforms and investments aimed at supporting the extension of the adjustment period

Reform and investments	RRF/PA	Key steps	CSR	Common priorities	Main objective	Implementation date	Indicator(s) on objective
1. PENSION REFORM							
Accompanying measure to soften the impact of the pension reform for certain categories							
1	Transitional measures to harmonise pension regimes	The government is making a specific budget available for transitional measures for people nearing retirement.	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	Budget for people close to retirement to ease the impact of the pension reform	2027	law voted by Q4 2025; impact for pensions received for first time from 1-1-2027 onwards (people can claim their pension up to 12 Months before the date of first pension receipt); budgetary impact from 2027 onwards
Strengthening the relationship between work and the acquisition of pension rights							
2	Actuarial neutrality introducing bonus malus and withdrawal of current pension bonus	- Introduction of the principle of actuarial corrections to the amount of the pension depending on the age at which the pension is taken in relation to the legal retirement age - Withdrawal of the current bonus after the early retirement age.	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Strengthen the financial viability of the pensions system, by encouraging people to work up to retirement age and beyond - Reduce financial incentives to retire in a flexible retirement system	2026	law voted by Q4 2025 Abolition of current pension bonus implemented in the 2025 programme law + new principle of actuarial corrections voted in separate law in 2025; budgetary impact from 2026 onwards
3	Equivalent periods (cap)	In the employee/self-employed scheme, capping on periods treated as equivalent to 40% of career; limit reduced by 5% a year until 20% (in 2031)	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	Reduce financial incentives to retire by capping the assimilation of periods not worked with periods worked; harmonise the regimes for employees, the self-employed and civil servants.	Q1 2027	law voted by Q4 2025 impact for pensions received for first time from 1-1-2027 onwards (people can claim their pension up to 12 Months before the date of first pension receipt); budgetary impact from 2027 onwards
4	Flexible retirement age (from 60 after 42 years of working)	Easing of the conditions for early retirement, subjected to the requirement of a 42-year working career	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Enable workers with long, hard-working careers to retire earlier - Take account of the hardship of occupations	Q1 2027	law voted by Q4 2025; impact for pensions received for first time from 1-1-2027 onwards (people can claim their pension up to 12 Months before the date of first pension receipt); budgetary impact from 2027 onwards

Harmonisation of pension regimes for employees, civil servants and the self-employed						
5	Increasing coefficient 1 (in addition: easing out scenario of funding through transitional envelope)	Gradual abolition of increase coefficient related to opening the right to retire for civil servants	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Improve the sustainability of the Belgian pension system, by aligning career requirements for retirement - Harmonize regimes for civil servants, employees and the self-employed	Q1 2027 law voted by Q4 2025; impact for pensions received for first time from 1-1-2027 onwards (people can claim their pension up to 12 Months before the date of first pension receipt); budgetary impact from 2027 onwards
6	Extinction of sickness pension	End of sickness pension scheme for civil servants, by stopping new entrants to the system	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Improve the sustainability of the Belgian pension system, by aligning career requirements for retirement - Harmonize regimes for civil servants, employees and the self-employed	Q1 2026 law voted by Q4 2025; impact for pensions received for first time from 1-1-2026 onwards (workers in the public sector on disability leave cannot really "claim" a disability pension, it is the employer who request a medical commission to decide on a transfer to the disability pension; entrance into the disability pension pathway will be not possible anymore from 1-1-2026 onwards); budgetary impact from 2026 onwards
7	Limited indexation of high civil servants pensions (limited to the ceiling in the employee pension)	Capping indexation of civil servant pensions	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Improve the sustainability of the Belgian pension system, by aligning career requirements for retirement - Harmonize regimes for civil servants, employees and the self-employed	2025 implemented by program-law in 2025; budgetary impact by Q4 2025
8	Harmonization of career requirements for early retirement	Harmonization and tightening of early retirement conditions between the three schemes	2024_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Improve the sustainability of the Belgian pension system, by aligning career requirements for retirement - Harmonize regimes for civil servants, employees and the self-employed	Q1 2027 law voted by Q4 2025; impact for pensions received for first time from 1-1-2027 onwards (people can claim their pension up to 12 Months before the date of first pension receipt); budgetary impact from 2027 onwards

2. LABOUR MARKET REFORM

Unemployment benefit reform					
9	Unemployment benefit reform	1. Limitation of unemployment benefits over time and increased degressivity of benefits 2. Obligation for the unemployed to remain available until the legal pension age 3. Abolition of partial unemployment benefit for the long-term unemployed working in a job in short supply or in another Region	2024_CSR_1 social and economic resilience, including the European Pillar of Social Rights	Reducing the period of unemployment and improving reintegration	2025-2027 Q3 2025 - Adoption by Parliament of the law limiting unemployment benefits over time, modifying the degressivity of benefits and the availability of the unemployed. Q3 2025: Implementation of the Royal Decree providing for the abolition of partial unemployment benefit for the long-term unemployed working in an occupation in short supply or in another Region.
Working longer					
10	Working longer	1. Simplification of childcare leave arrangements 2. Harmonisation and adaptation end-of-career regimes 3. Limitation of new access to other systems that encourage early exit from the labour market	2024_CSR_1 social and economic resilience, including the European Pillar of Social Rights	Extending careers by guaranteeing a work-life balance	2025-2029 2026: After consultation with the social partners, federal government decision on simplification of childcare leave arrangements (family credit & parental leave) 2026: Federal government decision on the gradual increase in the career requirement for part-time work for senior citizens from the age of 55 2027: After consultation with the social partners, federal government decision on harmonisation of rules on career breaks and time credit between sectors Q1 2025 (Government agreement): Federal government decision to limit new access to other systems that encourage early exit from the labour market
11	Modernisation of employment law	1. More flexible working hours 2. Introduction of a 650-hour ceiling for student work and lowering of the minimum age to 15. 3. Reintroduction of the trial period and limitation of redundancy payments for new recruitments	2024_CSR_3 social and economic resilience, including the European Pillar of Social Rights	Improving flexibility and reducing administrative burdens	2025-2028 2026: Federal government decision on how to simplify working hours to make them more flexible. Q3 2025: Adoption by Parliament of the law introducing a cap of 650 hours on student work and lowering the minimum age to 15. Q4 2025: After consultation with the social partners, Parliament adopts the law limiting redundancy payments to 52 weeks for new recruits.
12	A Global Prevention and Reintegration Plan for the Long-Term Sick	1. Employers to be made responsible for encouraging a gradual return to work 2. Introduction of a penalty for workers who refuse to cooperate with their reintegration programme. 3. Introduction of a transitional period of 8 weeks between 2 periods of absence due to illness (tourniquet effect).	2024_CSR_1 social and economic resilience, including the European Pillar of Social Rights	Reducing long-term absenteeism and improving return to work	2025-2028 Q4 2025: Federal government decision on the monitoring plan via the Return to Work barometer (step 1) Q3 2025: Adoption of the law by Parliament (steps 2 to 4)

3. TAX REFORM						
Make work rewarding						
13	Tax cut for those working	- Increase in personal tax allowance for workers - Reform of special social security contribution and work bonus - Lower tax on additional earnings after retirement	2024_CSR_3	social and economic resilience, including the European Pillar of Social Rights	- An annual increase in the employment rate - Put replacement income recipients back on a positive work trajectory - Special focus on low-income earners - Encouraging retirees to continue working	Q1 2026 Law voted by Q4-2025
14	Reduce disincentives to work	- Halving the marital quotient - Reduction of deduction for maintenance allowances from 80% to 50% - Abolition of unemployment benefit tax credit	2024_CSR_3	social and economic resilience, including the European Pillar of Social Rights	- An annual increase in the employment rate - Incentivize second earners to work - Remove tax disincentives to work - Generate additional revenues of over 450 milion euros by 2029	Q1 2026 Law voted by Q4-2025
Improve competitiveness						
15	Targeted wage cost reduction and social contribution capping	- Targeted reduction of the wage cost for low/medium-wage workers; - Increase in the maximum contribution for meal vouchers - Introduction of a wage cap: for all wage increases above a certain level, employers contributions will no longer rise with it	2024_CSR_3	social and economic resilience, including the European Pillar of Social Rights	- Increase the purchasing power and simultaneously reduce the wage burden for employers - Tempering the wage cost and preserving the Social security funding	2025 Modification of the law by Q4 2025 and by Q4 2026
16	Energy standard energy-intensive industry	Reduction of electricity transmission tariffs for energy-intensive industries			Strengthen Belgian competitiveness in energy-intensive industries (e.g. chemicals and pharmaceuticals)	Q4 2025 Reduction in network tariffs at 01/01/2026 compared with network tariffs at 01/01/2025
Encourage investments						
17	Improving investments climate	- Minor improvements to expat regime ; - Increased attractiveness of the intra-group transfer regime - Simplification of the investment allowance (green).	2024_CSR_4	social and economic resilience, including the European Pillar of Social Rights	- Attract foreign talents and boost competitiveness through targeted corporate tax measures, including tax consolidation and the investment allowance, to stimulate investment, particularly in the energy transition.	2025 Some of the measures will be implemented by 07/2025 (law voted in Q3-2025), others will go into effect on 1/1/2026 (law voted in Q4-2025)
Financing the tax reform						
18	Broadening the tax base	- Introduction of a 10% capital gains tax on realized capital gains. - Abolition of the tax deductibility of interest on housing loans for secondary residences - Strengthen the conditions for the dividend received deduction - Introduction of a regime to tax carried interest	2023_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Broaden the tax base to finance the tax cut - Generate additional revenues of over 1.400 milion euros by 2029	2026 Law voted by Q4-2025
19	Limit the welfare envelope	- Stop the disbursement of the welfare envelope	2019_CSR_1	social and economic resilience, including the European Pillar of Social Rights	- Ensure financial stability and meet budgetary objectives - Allow for more sustainable long-term funding of welfare programs - Reduce government spending by over 2.800 milion euros by 2029	Q2 2025 Q2 2025

4. Supporting competitiveness (business environment)						
20	SME Plan	Adoption of an SME plan, with a specific focus on start-ups, which takes cross-cutting measures to develop a more attractive business environment for small and micro-enterprises. The plan will include a tailored regulation through the Think Small First principle, reduced administrative burdens and a targeted reduction of costs.	2020_CSR_3	social and economic resilience, including the European Pillar of Social Rights	Increase SMEs competitiveness, facilitating business size growth, fostering generational transition, investment orientation and skills matching.	Q1 2026 Q4 2025: Adoption of an SME plan. The plan will include at least following elements: - adoption of the think small first principle - detailed plan to reduce administrative burdens - detailed plan to reduce cost of doing business
21	Reducing the administrative burden	- Submission of a plan on which administrative obligations for entrepreneurs can be simplified or abolished; - Based on this plan, concrete measures will be taken in various areas to significantly reduce the administrative burden.	2019_CSR_4		Reduce the administrative burden on firms. Lower compliance costs for SME's and other firms.	Q1 2026 Q4 2025 Adoption of a law reducing compliance costs in a.o. tax and labour matters
22	Public procurement	-Simplification of the procedures regarding public procurement; - Specifically for small and micro-enterprises, implementation of measures such as dividing contracts into lots, prioritizing qualitative criteria over price, simplifying the tender procedure via the only-once principle, and making price revisions possible for all contracts. - Focus on further reducing the payment term and the guarantee, taking into account the feasibility and the financial risks for the government services.	2020_CSR_3	social and economic resilience, including the European Pillar of Social Rights	Improve access by SME's to procurement contracts By 2029, achieve the European target of 80% SME participation and 60% SMEs among the winning companies.	Q1 2029 Revision of the legal framework by q4 2026
23	Digitalisation of government services	- Develop a strategy and approach to redesign the landscape of digital counters; - Mandatory use of e-Box with maximal synergy between e-Box citizen and e-Box enterprise; - Elimination of multiple reporting channels within e-Box; - Cooperation with federal states and local authorities by opening up building blocks for reuse, similar to e-Box.	RRF 2024_CSR_4		- Accelerate the digitalisation of different administration services under the Federal State; - Incentivize entrepreneurship by digitalizing interaction with government	Q2 2026 Mandatory use of e-Box enterprise by Q2 2026

5. Improving efficiency and quality of public spending						
24	Improve the efficiency and quality of public spending	- Conduct spending reviews; - Conduct an objective screening of current ESA spending with partner institutions; - Reorganization of the federal government with fewer and leaner government departments, limited use of consultants and centralization of support services; - Provide for gradual phasing out of subsidies.	2019_CSR_1	- Improve the efficiency and quality of public spending - Savings in government spending resulting from efficiency gains (reorganization) of 300 million euros by 2029 - Reduce federal subsidies with 200 million euros by 2029	Q1 2026	Q4 2025 Adoption of a plan gradually reducing subsidies
6. Budgetary coordination between different levels of government						
25	Improve cooperation with regions	- Adaptation of the 2013 cooperation agreement; - Redefinition of tasks of the High Council of Finance (HCF); - Ensure full implementation of the revised cooperation agreement.	2022_CSR_1	- Ensure effective budgetary coordination - Provide effective tools for monitoring of compliance	Q4 2025	- Agreement on the adaptation of the 2013 cooperation agreement by Q4 2025 - Adoption of the revised cooperation agreement with regions (retroactively) by Q4 2026 - Adoption of a Royal Decree redefining the tasks of the High Council of Finance by Q4 2025

6.2 Other reforms and investments

In addition to the reforms and investments that justify extending the adjustment period, there are other significant investments and reforms outlined in Table 9.

6.2.1 Entity I

To reverse the deterioration of the fiscal position, in addition to the six reforms discussed in the previous section, the federal government will implement only those new policies that are essential.

These reforms and investments will require additional fiscal efforts. They will focus on the European Union's common priorities in the areas of digital transition, social and economic resilience, energy security, and strengthening defence capabilities.

In terms of the ecological transition, the federal government will introduce a greener tax system. The main levers of this reform will be a temporary reduction in VAT on heat pumps, a simplification and strengthening of the green investment deduction, a review and implementation of an excise duty shift on energy products, as well as an increase in VAT on certain fossil fuels and a reduction in support for professional diesel. The aim is to encourage more sustainable consumption and transport modes, both for households and businesses.

The federal government will also ensure social and economic resilience by providing support to local governments that could face additional burdens as a result of labour market and pension reforms. In addition, a budgetary envelope will be allocated to the most vulnerable population groups to continue the development of the social economy, as well as to reform the social assistance system. Again, with the aim of improving social resilience, the longer working hours inherent in labour market and pension reform will be offset by measures to improve the work-life balance.

To ensure energy security, the federal government will invest in research to enhance the sustainability, safety, and cost optimisation of Belgian nuclear reactors. The government will also work to revive the nuclear industry and explore opportunities to build new reactors and expand existing capacity. A plan will also be drawn up to develop, build and launch the first SMR (Small Modular Reactor). All this will be embedded in a long-term strategic vision aligned with the inter-federal energy pact. These objectives will be supervised by the creation of a High Council for Energy Supply.

Finally, the federal government will make the necessary efforts to achieve the objectives of NATO's STAR plan. The government plans a defence budget of 2% of GDP by 2029 and 2.5% by 2034.

Table 9.1: Other reforms and investments (Entity I)

	Reform/investment	RRF/PA	CSR
1. A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.			
1	Reform: A greening of taxation, including temporarily reducing VAT on heat pumps, simplifying and strengthening the green investment deduction, as well as increasing VAT on certain fossil fuels and phasing out support for professional diesel.	/	2023_CSR_4
2. Social and economic resilience, including the European Pillar of Social Rights			
2	Reform: Support for local governments to address additional burdens resulting from labour market and pension reform.	/	2024_CSR_1
3	Reform: Providing additional financial compensation for the further development of the Social Economy	/	2024_CSR_4
4	Reform of the social assistance system	/	2023_CSR_3
5	Reform: Providing a range of measures to make longer working hours manageable and ensure a healthy work-life balance.	/	2024_CSR_3
3. Energy security			
6	Reform: Development of a long-term vision and strategy anchored in an inter-federal energy pact + establishment of High Council for Energy Supply	/	2023_CSR_4
7	Investment: Drafting plan for development, construction and commissioning of the first SMR	/	2023_CSR_4
8	Investment: Encouraging investment in nuclear capacity research	/	2023_CSR_4
4. The build-up of defence capabilities			
9	Investment: Rattrapage STAR-PLAN	/	
10	Investment: Effort beyond STAR: NATO standard: 2.5% by 2034, 2% by 2029	/	

6.2.2 Entity II

6.2.2.1 Flanders

The Flemish Government 2024-2029 is an investment-driven government. Flanders is continuing to catch up by increasing investment levels. To monitor this in the long term, a measurement tool is being developed, and investment agendas are being utilised across the various Flemish policy areas.

Productive investments are crucial for the Flemish economy, as they form the foundation for sustainable growth and development. These investments, focused on improving infrastructure, technology, and innovation, help boost the productivity and competitiveness of companies. In its coalition agreement, Flanders sets out a number of ambitious goals. Together with industry, the goal is to increase joint investment in R&D to 5% of gross domestic product. Further steps towards achieving the 1% target for the government will be taken during this legislature period.

A strong investment environment fosters not only the creation of new jobs but also the development of skills within the workforce. This is also crucial for bringing the Flemish employment rate to 80% and essential at a time when technological progress and globalisation are reshaping the labour market. Moreover, productive investments can help reduce the ecological footprint by promoting sustainable technologies and green energy sources, which is in line with the Flemish government's broader sustainability objectives. In addition, these investments will strengthen economic resilience. In times of economic uncertainty, well-planned investments can safeguard the stability of the economy and ensure a faster recovery period. In short, productive investment is not only an engine for growth but also a foundation for a future-proof and inclusive economy in Flanders.

In addition to productive investments, the Flemish Government is also strongly advocating for several important reforms. In this way, Flanders will continue to make ongoing improvements where necessary within its policies.

In preparing the national medium-term fiscal-structural plan, the connection with CSRs and common EU priorities is essential. In fact, all CSRs addressed to Belgium in the 2019-2024 period are highly relevant to Flanders as well. As was the case with the Flemish reform programmes (2011-2024), Flanders aims to maximise its response to the relevant CSRs by implementing reforms and investments, while also contributing to the four common priorities of the Union.

There are 19 Flemish reforms and investments, organised around four main axes. These align with the way the EC clusters its CSRs for 2019-2024 thematically, as well as with the common EU priorities. They underpin the Flemish contribution to the national medium-term fiscal-structural plan.

Clearly, a certain level of selectivity is necessary in identifying the most important reforms and investments under the CSRs. Many reforms and investments remain ongoing regardless. The

2019-2024 legislature, for instance, focused on the Flemish Resilience Investment Plan, with a significant number of projects also being part of the National Recovery and Resilience Plan (NRRP). Obviously, Flanders will continue to take the necessary measures to implement the Flemish projects from this NRRP by August 2026. In addition, ongoing efforts are being made to implement projects from the cohesion policy (2021-2027) via the ESF, ERDF, and other funds. In fact, through the cohesion policy and the implementation of the Flemish projects under the NRRP, Flanders is directly responding to CSR 2 from previous years.

The included selection of 19 reforms and investments seeks to strategically cover the relevant Flemish competences under the European Semester. They will also form the basis for further Flemish monitoring and reporting as part of the annual progress reports, which must always be delivered to the EC by the end of April at the latest.

- The first axis relates to measures concerning budget, public finance and controlling costs in long-term care. In this context, the Flemish Government remains committed to sound public finances, aiming for a balanced budget by 2027 (see also above). Key reforms contributing to this include the 'Spending and revenue review and the 'Commitment to greater efficiency in long-term care.'
- The second axis includes measures related to labour, education, and training, which address important Flemish competences. Labour market reforms aimed at achieving the 80% employment rate include 'Reinforced activation of job seekers and non-professionals' and 'Competence projections at the macro level and VDAB master campuses'. Flanders is also committed to a series of reforms and investments to strengthen education. The focus on the Dutch language will be strengthened, and measures to address the teacher shortage will be continued. Vocational, technical and arts education will be upgraded: the link with the labour market will be strengthened. These include the further expansion and modernisation of dual learning pathways. The Flemish Government is also releasing additional funds to invest in childcare. Among other things, investment in childcare contributes to more people's access to the labour market and to child well-being and development;
- The third axis focuses on Entrepreneurship, competitiveness, R&D, digitalisation. Geopolitical realities highlight the importance of Flanders' planned innovation support for defence companies. Investments regarding AI and cybersecurity are also important policy actions that will enhance Flanders' competitiveness and strengthen its position in the R&D landscape. Flanders also continues to respond to priorities that are high on the European agenda. For example, reference can be made to 'Uitwerken van het industriële klimaattransitieprogramma: de Vlaamse Klimaatsprong' [Developing the industrial climate transition programme, the Flemish Climate Leap] and the government-wide project 'Regelrecht' on administrative simplification and the reduction of the regulatory burden, in which entrepreneurs, like other stakeholders in Flanders, are supported and relieved.

- Finally, the fourth axis focuses on measures related to the green transition, climate, energy and mobility. Here, the Flemish Government is committed to 'Investments in robust and future-proof infrastructure/asset management' and encourages 'soft mobility' and collective transport through investments and reforms in cycling policy and large-scale investments in public transport. People who want to remodel will be supported through 'My Rebuilding Premium, My Rebuilding Loan, and My Rebuilding Guidance.' The price ratio between electricity and fossil fuels will be addressed through a tax shift, and the roll-out of renewable energy and associated grid infrastructure will be facilitated through accelerated licensing.

Table 9.2: Other reforms and investments (Flanders)

	Reform/investment	RRF/PA	CSR	Common EU priority/ies
Axis 1: Budget, public finance, healthcare				
1	Reform: 'Expenditure and income tests'	/	2019.1.5	(ii) Social and economic resilience, including the European Pillar of Social Rights
2	Reform: 'Committing to greater efficiency in long-term care'	/	2024.1.2, 2023.1.5, 2022.1.4, 2019.1.3	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119

Axis 2: Labour market/education and training

3	Reform: 'Strengthened activation of job seekers and non-professionals'	/	2024.3.1, 2023.3.1, 2019.2.1	(ii) Social and economic resilience, including the European Pillar of Social Rights
4	Reform + Investment: 'Competence projections at macro level and creation of VDAB master campuses'	PA (EFRO)	2024.2.2, 2024.3.1, 2023.3.1, 2022.3.1, 2019.2.1, 2019.2.3	(ii) Social and economic resilience, including the European Pillar of Social Rights
5	Reform: 'An ambitious curriculum in primary education'	/	2024.3.2, 2023.3.2, 2022.3.1, 2019.2.2	(ii) Social and economic resilience, including the European Pillar of Social Rights
6	Reform + investment: 'Strengthening Dutch in different levels of education'	/	2024.3.2, 2023.3.2, 2022.3.1, 2019.2.2	(ii) Social and economic resilience, including the European Pillar of Social Rights
7	Investment: 'Upgrading vocational secondary education, technical secondary education, arts secondary education'	/	2024.3.1, 2024.3.2, 2023.3.2, 2022.3.1, 2020.2.2, 2019.2.2, 2019.2.3	(ii) Social and economic resilience, including the European Pillar of Social Rights
8	Investment: 'Ensuring strong teaching staff: investing in teachers'	/	2024.3.2, 2023.3.2, 2022.3.1, 2019.2.2	(ii) Social and economic resilience, including the European Pillar of Social Rights
9	Investment: 'Investing in childcare'	/	2024.3.1, 2023.3.1, 2022.3.1, 2019.2.1	(ii) Social and economic resilience, including the European Pillar of Social Rights

Axis 3: Entrepreneurship, competitiveness, R&D, digitalisation

10	Investment: 'Flemish innovation support for defence companies'	/	/	iv) The build-up of defence capabilities
11	Investment: 'Engaging in digitalisation: AI, cybersecurity and SMEs and innovation followers'	/	2019.3.3	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119
12	Investment: 'Developing the industrial climate transition programme, the Flemish Climate Leap'.	/	2023.4.3	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119
13	Reform: 'Government-wide project on administrative simplification and reduction of regulatory burden'	/	2024.4.1, 2020.3.2, 2019.4.1	(ii) Social and economic resilience, including the European Pillar of Social Rights

Axis 4: Green transition, climate, energy, mobility

14	Investment: 'Investment in robust and future-proof infrastructure/asset management'	/	2020.3.5, 2019.3.1	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119
15	Reform + investment: 'Bicycle Master Plan and Investment in Cycling Infrastructure'	RRF (I-3.01)	2023.4.4, 2022.4.3, 2020.3.5, 2019.3.1, 2019.3.4	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119
16	Investment: 'Investment in public transport'	RRF (I-3.16)	2023.4.4, 2022.4.3, 2020.3.5, 2019.3.1, 2019.3.4	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119

17	Reform + Investment: 'My Rebuilding Premium, My Rebuilding Loan and My Rebuilding Guidance'	RRF (R 1.01)	2023.4.1, 2023.4.2, 2022.4.1, 2022.4.2, 2020.3.6, 2019.3.2	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119; (iii) Energy security
18	Reform: 'Electricity/fossil fuel tax shift'	/	2023.4.1, 2023.4.2, 2022.4.1, 2022.4.2, 2020.3.6, 2019.3.2	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119; (iii) Energy security
19	Reform: 'Accelerated licensing'	/	2023.4.5, 2022.4.4	(i) A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119

6.2.2.2 Walloon Region

In this challenging budgetary context, the government intends to implement a series of ambitious reforms to modernise public action while ensuring efficient management of resources. Therefore, this term will be characterised by strategic initiatives, responding to the efficiency and transformation requirements of public services for the benefit of all citizens.

Aware of the challenges associated with demographic change and the sustainability of public finances, the government will implement a personnel policy for the civil service focused on systematically not replacing those who retire. This measure will encourage structural reorganisation of services and optimal allocation of human resources, while ensuring the quality of service to citizens.

Employment remains a top priority. To achieve the 80% employment rate, employment guidance measures and their coordination need to be reassessed. Therefore, the government is committed to streamlining employment promotion structures and fostering greater synergy between the actors involved. This reform will be accompanied by an in-depth review of training pathways, carried out in close cooperation with the Fédération Wallonie-Bruxelles, to better align with labour market needs.

The government has also reaffirmed its commitment to the ecological transition. A tax reform will adjust road tax, reducing the penalty on electric vehicle use and supporting households in their transition to more sustainable mobility.

In terms of investment, Wallonia will benefit from European Union recovery funds until 2026, particularly through the Recovery and Resilience Facility (RRF) and the REPowerEU plan. This funding will be complemented by European co-financing and the Walloon Recovery Plan (PRW), which will shape the government's investment strategy around five priorities: fighting poverty, economic and industrial development, energy transition, improving training, and supporting cross-cutting projects.

In terms of infrastructure and mobility, major investments will be made through various strategic programmes, such as the Infrastructure and Mobility for Everyone Plan (PIMPT), the development of the Trans-European Transport Network (TEN-T), and the renovation of engineering structures. These initiatives will improve the region's connectivity and enhance its economic attractiveness.

The government will also place special emphasis on infrastructure for young children. A significant effort will be made to create 2,000 additional childcare places, on top of the 3,000 already planned. Moreover, on public health, the government will double the resources for prevention as a sign of its determination to take proactive action to improve citizens' quality of life.

These reforms and investments reflect the government's desire to strengthen the effectiveness of public measures, boost growth and employment and accelerate the transition to a fairer and more sustainable society.

Table 9.3: Other reforms and investments in the Walloon Region

	Reform/investment	RRF/PA	CSR	Common priorities
1	Investments in childcare facilities	/	2024_CSR_3	Social and economic resilience, including the European Pillar of Social Rights
2	Expanding resources for preventive healthcare	/	2024_CSR_1	Social and economic resilience, including the European Pillar of Social Rights
3	Investments in engineering structures (bridges)	/	2021_CSR_1	
4	Investments - TEN-T	/	2021_CSR_1	
5	Reform: Vehicle tax policy	/	2023_CSR_4	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
6	Reform: Employment policy	/	2024_CSR_3	Social and economic resilience, including the European Pillar of Social Rights

6.2.2.3 Brussels-Capital Region

Since the elections of 9 June 2024, the Brussels-Capital Region has not had a government with full powers. A caretaker government is responsible for day-to-day management, current affairs, and urgent matters, but it cannot set policy or introduce new measures.

6.2.2.4 French Community

The Fédération Wallonie-Bruxelles (FWB) is undertaking a series of strategic investments to modernise its infrastructure and support major projects for the region's development. These investments cover several key sectors, ranging from school buildings to energy transition, as well as culture, sports, and higher education. The various investment axes defined by the FWB are described below.

Renovation of school buildings

The renovation of school buildings across all education networks is one of the main priorities. Approximately EUR 65 million has already been allocated or is close to being settled for these

renovations. An additional EUR 175 million will be allocated in 2025 to continue the work, depending on the progress of selected projects. These funds will be used for demolition, decommissioning and the construction of new school buildings. All projects are the result of project calls, ensuring transparent management and efficient resource allocation. This investment is essential to provide students with a modern learning environment adapted to today's educational needs.

Renovation of cultural infrastructure

A significant amount is also being invested in culture: about EUR 50 million is currently earmarked for the renovation of cultural infrastructure. This involves modernising museums, cultural centres, and libraries. These renovations aim to protect and enhance cultural heritage while making it more accessible and appealing to an increasingly diverse public. This investment reflects the importance of culture in shaping society and ensures that citizens have access to high-quality infrastructure.

Renovation of sports facilities and public youth protection institutes

EUR 27 million will be allocated to renovate sports centres and public youth protection institutes. That investment will allow sports infrastructure to be modernised, better serving the needs of practitioners and promoting sport at all levels. Similarly, the renovation of public youth protection institutes aims to improve the living conditions of young people in these facilities by providing infrastructure that better supports their development.

Renovation of university infrastructure

Fédération Wallonie-Bruxelles universities, such as ULB, UCL, UNamur, and Saint-Louis, will also receive EUR 41 million to renovate their infrastructure. This funding is intended to modernise university buildings and create an environment that fosters innovation and quality education. The aim is to strengthen the competitiveness of these institutions and provide students with optimal study conditions in a modern, dynamic environment.

Energy transition and environment

The FWB is also committed to energy transition by setting up an environment and energy transition research platform. EUR 23.5 million has been allocated to the initiative, which aims to bring together researchers, government institutions, businesses and other stakeholders to address environmental and energy challenges. This platform will encourage the development of innovative solutions and energy challenges, while supporting research in key areas for the future.

Digital strategy for higher education and social promotion

Finally, EUR 21 million will be dedicated to the implementation of a digital strategy for higher education and social promotion. This initiative aims to integrate digital technologies into the teaching, learning and administrative practices of the institutions involved. It aims to improve the quality of education by using digital tools, increase the accessibility of education and modernise

the organisation of institutions, with a particular focus on institutions offering social promotion and distance learning courses.

All these investment axes of the FWB aim to modernise essential infrastructure, support the energy and digital transition and improve the learning and living conditions of citizens. The amounts allocated for this purpose reflect a strong desire of the FWB to invest in the future, and with Europe's support, promote social inclusion and respond to current challenges. It should be noted that these amounts do not include VAT or the staff resources needed to manage the projects, which amount to approximately EUR 40 million until completion. These investments aim to significantly improve the quality of public services and infrastructure and the sustainable development of the region.

Table 9.4: Other reforms and investments (French-speaking Community)

	Reform/investment	RRF/PA	CSR	Common priorities
1	Investment: Renovation of school buildings	RRF (I-1.09)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
2	Investment: Renovation of cultural infrastructure	RRF (I-1.12)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
3	Investment: Renovation of sports facilities and public youth protection institutions	RRF (I-1.10)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
4	Investment: Renovation of university infrastructure	RRF (I-1.11)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
5	Investment: Energy transition research platform	RRF (I-7.11)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
6	Investment: Personalised support in compulsory education	RRF (I-4.03)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
7	Investment: Digital strategy for higher education and social promotion	RRF (I-4.04)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.

8	Investment: digitalisation of the ONE (Office of Births and Children)	RRF (I-2.07)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.
9	Investment: Digitalisation of the culture and media sector	RRF (I-2.08)	2024_CSR_1	A fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119.

6.2.2.5 German-speaking Community

The framework plan for the German-speaking Community's regional development and investment policy is the recently developed vision "Ostbelgien leben 2040."

Addressing the shortage of skilled labour

To continue attracting skilled and motivated workers to the German-speaking Community, the government will be concentrating its efforts on making the region more attractive and promoting it. That includes investments in tourism, culture, youth and cultural heritage, as well as volunteering and associations.

Education

In recent years, the government has developed a vision for education in 2040. This is now being implemented in all relevant domains. High-quality education requires quality infrastructure. To this end, the government has drawn up an initial priority list for a comprehensive school infrastructure programme (Schulbauprogramm II).

Intergenerational participation

A better balance between family and professional life enhances employability and strengthens the region. To achieve this, we need childcare facilities that are financially and geographically accessible, flexible childcare hours, and better support for parents of children with disabilities.

For people with disabilities, the government plans to invest in day centres, leisure activities for children who need support, housing projects for adults with disabilities, and other specific initiatives.

For seniors, the government will establish alternatives to traditional care facilities or home care services. In addition, accessible housing and public spaces will be created and nearby care facilities will be supported.

Digital transformation

The priority objectives include the digitalisation of the administration and health sector, specialised consultancy for businesses, equipping students and teachers with school laptops, distribution and development of school software, and the provision of fibre-optic infrastructure across the country.

Employment

According to the European Labour Force Survey, the German-speaking Community recorded the highest employment rate in the country in 2023, at 78.1% for people aged between 20 and 64. However, the labour market also faces challenges. During the new legislative term, the government will implement measures to promote employment between agencies, regardless of status.

Health

The first elements of the future global integrated care system will be implemented in the German-speaking Community. The government will encourage medical record sharing and professional exchanges. A comprehensive integrated care network will be established. In addition, the government plans major investments in hospitals, including infrastructure and projects such as the electronic medical record.

Housing

On social housing, the government will set targets for both investment in new homes and flats, as well as renovation. Moreover, the procedures for allocating flats and houses, as well as the calculation of rents and the appeals system, will be further refined to better meet real needs.

Environmental protection

The climate plan of the German-speaking Community aims to reduce CO₂ emissions in the territory of the Community by 55% by 2030 and by 100% by 2050. The pilot projects programme for local authorities, the Subsidising energy efficiency measures as part of the infrastructure decree (BERI), CO₂-neutral school buildings, and a reformed energy subsidy system are intended to help achieve this goal.

6.3 Investment needs

Belgium must remain committed to the green transition, the digitalisation of the economy, and strengthening its defence.

Given the limited budgetary space in the coming years, there is a gap between current/planned investments and overall investment needs.

For the common EU priorities, the main investment needs are addressed by the related measures in Table 9. It is not possible to estimate investment needs in a general sense.

Table 10 summarises these investment needs.

Table 10: Investment needs

Common priorities	Description of investment needs
1 Achieving a fair green and digital transition, including the climate objectives set out in Regulation (EU) 2021/1119	To achieve the European Commission's goal of social and economic resilience, as outlined in European Parliament and Council Regulation (EU) 2024/1263, Article 13(c), Belgium will propose an ambitious labour market reform. Firstly, the Belgian government will introduce an employment policy aimed at reintegrating long-term sick individuals and job seekers into the workforce. Secondly, Belgium will encourage entrepreneurs and the self-employed to take an active role in economic recovery and growth. Finally, to address population ageing and ensure the sustainability of its pension system, the Belgian federal government will implement a thorough and realistic pension reform, which will focus particularly on eliminating inequalities between different employee systems and between the sexes. <u>Employment rate</u> In consultation with other levels of government, including the regions, communities, and municipalities, the Belgian government will actively work to raise the employment rate to a level comparable with that of its neighbouring countries. An employment rate of 80% appears achievable, given the available human resources and the current vacancies in the country. Therefore, policies will be implemented to empower both workers and employers in bringing those who have exited the workforce back into employment. Therefore, there is a need to invest in training and development to enhance the employability of workers and address shortages in specific sectors. Adapting workplaces to accommodate as many people as possible, to prevent exclusion from the labour market, will also require investment. <u>Encouraging entrepreneurship</u> Belgium is home to many ambitious and creative citizens who can generate innovative ideas for the challenges of today and tomorrow. Therefore, the Belgian government should allocate resources to encourage citizens to become

	entrepreneurs, either independently or within a business, by providing an attractive environment with minimal barriers. This also means investing to make it easier and less burdensome to access business opportunities, for example by reducing administrative procedures and entry costs. <u>Pension system</u> Much of the investment will be directed towards a comprehensive reform of the Belgian pension system, making it better aligned with the current economic context and more resilient to population ageing. Therefore, the Belgian government will aim to harmonise the various systems that make up the current pension structure, with the goal of eliminating inequalities.
2 Social and economic resilience, including the European Pillar of Social Rights	Together with the regional governments, the Belgian federal government will fully commit to the ecological and technological transition. To meet its targets, Belgium will invest massively in renewable energy that does not emit greenhouse gases. Therefore, it will also allocate funds for research to enhance its nuclear capacity and develop energy from hydrogen conversion. The government will also implement the ETS2 and CBAM schemes starting in 2027. Belgium will also actively promote the use of more sustainable transport options, such as by continuing to invest in the rail network. Investment will also focus on improving the energy efficiency of both private and public buildings. Regarding the digital transition, Belgium will work towards a secure and equitable digital environment by allocating resources for cybersecurity and implementing the European NIS2 directive.
3 Energy security	As part of the ecological transition, Belgium will continue to strengthen the security of its energy facilities. First, by investing in research and improving nuclear capacity and research around hydrogen energy, but also by encouraging investments to improve the efficiency of the electricity transmission network. Belgium will prioritise investments in its electricity network to strengthen it and bring it up to the same standard as its neighbours.
4 The build-up of defence capabilities	In an uncertain geopolitical context, Belgium will ensure it meets NATO requirements in terms of investment in its defence capabilities. Therefore, the Belgian federal government will invest in its armed forces to achieve the objectives

of the STAR plan by 2034. From 2025, Belgium will allocate additional funds to finance operational deployments in the context of the Ukraine crisis. Most of the additional funding will come from a newly created Defence Fund. That fund will be funded by the sale of assets, with a first tranche before 31 December 2025. In consultation with the regional governments, the federal government will also encourage the expansion of industrial capacity to meet the growing demand for arms and military equipment.

Attachments

Annex 1: Commission's reference trajectory covering a 7-year adjustment period

		2023	2024	2025	2026	2027	2028	2029
1	Net nationally financed primary expenditure (growth rate)		3,7	3,0	2,6	2,6	2,2	2,2
2	(cumulative growth rate)		3,7	6,8	9,5	12,4	14,9	17,5

		2023	2024	2025	2026	2027	2028	2029
		growth rate						
1	Potential GDP	2,0	1,7	1,6	1,4	1,4	1,2	1,2
2	GDP deflator	4,5	2,7	2,4	2,1	2,1	2,1	2,2
		% GDP						
3	Net lending/net borrowing	-4,2	-4,6	-4,6	-4,4	-3,9	-3,4	-2,9
4	Structural balance	-4,1	-4,2	-3,8	-3,4	-3,0	-2,6	-2,1
5	Structural primary balance	-2,1	-2,0	-1,5	-1,0	-0,5	0,1	0,6
6	Gross debt	103,1	103,4	105,3	106,9	106,9	106,8	106,1
7	Change in gross debt	0,5	0,2	1,9	1,6	0,1	-0,2	-0,6

Annex 2: Net expenditure path included in this plan during the 7-year adjustment period (Table 1a up to 2031)

		2023	2024	2025	2026	2027	2028	2029	2030	2031
1	Net nationally financed primary expenditure (growth rate)		4,3	3,6	2,5	2,5	2,1	2,1	2,3	2,4
2	(cumulative growth rate)		4,3	8,0	10,7	13,4	15,9	18,3	21,1	24,0

Annex 3: Evolution of fiscal variables (=Table 1b) up to 2031

		2023	2024	2025	2026	2027	2028	2029	2030	2031
		growth rate								
1	Potential GDP	2,0	1,7	1,6	1,4	1,4	1,2	1,2	1,1	1,1
2	GDP deflator	4,5	2,7	2,5	2,1	2,1	2,1	2,2	2,2	2,2
		% GDP								
3	Net lending/net borrowing	-4,2	-4,6	-4,7	-4,6	-4,1	-3,5	-3,0	-2,5	-2,0
4	Structural balance	-4,1	-4,2	-4,0	-3,6	-3,2	-2,7	-2,1	-1,6	-1,2
5	Structural primary balance	-2,1	-2,0	-1,8	-1,2	-0,7	0,0	0,6	1,1	1,6
6	Gross debt	103,1	103,4	105,1	107,0	107,3	107,3	106,7	105,6	104,0
7	Change in gross debt	0,5	0,2	1,8	1,9	0,3	0,0	-0,5	-1,1	-1,6